

APPRAISAL REPORT MIXED USE BUILDING



1625 ALBION ROAD, TORONTO, ONTARIO

1625 Albion Road
Toronto, Ontario

Prepared for:
DRAFT
November 21, 2025

Valsum Appraisal Services

Email: info@valsum.ca

Phone: 647-274-8221

Web: www.valsum.ca

November 21, 2025

Re: 1625 Albion Road, Toronto, Ontario

As the result of a research and valuation analysis, it is my opinion that the estimated market value of the aforementioned real property, subject to any outstanding realty taxes, hydro charges, liens, work orders, or special assessments, as of November 14, 2025, is:

Final Estimate of Market Value
\$9,330,000

Extraordinary Assumption & Limiting Conditions

- The valuation contained herein is based on the financial information provided by the owner as summarized in the Income Approach of this report. The estimated value is contingent on the assumption that the reported income and expenses are true and correct. Should any of the supplied or estimated information be inaccurate or subsequently change, I reserve the right to re-examine the updated financial information and adjust the estimate of market value accordingly.

This appraisal report describes the method and approach to market value that has been employed and contains some of the data gathered during the course of my research.

The report has been prepared on the assumption that the property complies with all requirements of the authorities having jurisdiction over environmental matters. The value reported may not reflect the actual market value of the property should the property be found to be contaminated.

All comments, opinions and conclusions are discussed and elaborated upon within the body of this report to the extent felt necessary in support of the final estimate of value. Specific attention should be given to the Assumptions and Limiting Conditions contained herein which form an integral part of this report.

The undersigned certify that they have no present or contemplated interest in this property of any kind whatsoever and that this valuation has been performed in accordance with the Canadian Uniform Standards of Professional Appraisal Practice (CUSPAP) adopted by the Appraisal Institute of Canada and effective January 1, 2001 and amended to January 1, 2024.

**DRAFT
FOR REVIEW ONLY**

1625 Albion Road, Toronto, Ontario



Assumptions and Limiting Conditions

1. This report is prepared at the request of our client to assist in estimating the current market value of the property. It is not reasonable for any person other than the client to rely upon this appraisal without first obtaining written authorization from the client and the Valsum Appraisal Services. There may be qualifications, assumptions or limiting conditions in addition to those set out below relevant to that person's identity or his intended use. The report is prepared on the assumption that no other person will rely on it for any other purpose and that all liability to all such persons is denied.

2. While expert in appraisal matters, the author is not qualified and does not purport to give legal advice. It is assumed that:

(1) a legal description as furnished is correct;

(2) title to the property is good and marketable;

(3) there are no encroachments, encumbrances, restrictions, leases or covenants that would in any way affect the valuation, except as expressly noted herein;

(4) the existing use is a legally conforming use which may be continued by any purchaser from the existing owner except as expressly noted herein;

(5) rights of way, easements or encroachments over other real property and leases or other covenants noted herein are legally enforceable.

Being these assumptions have been made, no investigation, legal or otherwise, has been undertaken which would verify these assumptions except as expressly noted herein.

3. The author is not a qualified surveyor (and no legal survey concerning the subject property has been provided). Sketches, drawings, diagrams, photographs, etc. are presented in this report for the limited purpose of illustration and are not to be relied upon in themselves.

4. The author is not qualified to give engineering advice. It is assumed that there are no patent or latent defects in the subject improvements, that no objectionable materials such as Urea Formaldehyde foam are present, that they are structurally sound and in need of no immediate repairs, unless expressly noted within this report. No soil tests have been done, nor have tests been done of the heating, plumbing, electrical, air-conditioning or other systems and, for the purpose of this opinion, they are assumed to be in good working order.

5. No investigation has been undertaken with the local zoning office, the fire department, the buildings inspector, the health department or any other government regulatory agency unless such investigations are expressly represented to have been made in this report. The subject property must comply with such government regulations and, if it does not comply, its non-compliance may affect market value. To be certain of compliance, further investigation may be necessary.
6. Neither possession of this report nor a copy of it carries with it the right of publication. All copyright is reserved to the author and is considered confidential by the author and his client. It shall not be disclosed, quoted from or referred to, in whole or in part, or published in any manner, without the express written consent of the appraiser. This is subject only to confidential review by the Appraisal Institute of Canada as provided in the Code of Ethics, Standards of Professional Conduct and Standards of Professional Practice of the Institute.
7. Market data has been obtained, in part, from documents at the Land Registry Office, or as reported by the Real Estate Board. As well as using such documented and generally reliable evidence of market transactions, it was also necessary to rely on hearsay evidence. Except as noted herein, a reasonable attempt has been made to verify all such information.
8. Because market conditions, including economic, social and political factors change rapidly and, on occasion, without warning, the market value expressed as of the date of this appraisal cannot be relied upon to estimate the market value as of any other date except with further advice of the appraiser.
9. The compensation for services rendered in this report does not include a fee for court preparation or court appearance, which must be negotiated separately. However, neither this nor any other of these limiting conditions is an attempt to limit the use that might be made of this report should it properly become evidence in a judicial proceeding. In such a case, it is acknowledged that it is the judicial body which will decide the use of the report which best serves the administration of justice.
10. Should perilous, toxic or other potential hazardous materials exist in the buildings, the soils of the subject property or abutting lands, such could cause a loss in value. The appraiser is not qualified to detect, test for, investigate or otherwise ascertain the existence of such substances, and assumes no responsibility relative to the possible presence of such. Further, it is beyond the scope of the appraisal to address the matter of any costs that might be associated with the detection, removal, correction or treatment in the event such substances exist on the subject or adjacent lands. No steps have been taken to retain experts or other qualified persons to ascertain the possible existence of such materials, as such engineering fact finding is not part of the appraiser's mandate, and no funds have been provided for such an undertaking. It is respectfully suggested that the client retain appropriate experts or qualified persons to address such matters.
11. This report is only valid if it bears the original signature of the author(s).
12. Recent legislative changes may impact on the amount of realty taxes payable and adjustments to the value consequent on any changes in realty taxes have not been reflected in this report.

13. The only party who may rely on the opinion expressed in this report is the client, even where the report is for financing purposes. Where the client is a lender, its borrower and the loan insurer may also rely on this report. This report assumes that only the addressee will rely upon it, and only for the intended use stated herein. No one else may rely on this report without the written consent of the appraiser, which we may not provide retroactively. We expressly deny any legal liability for unauthorized reliance and for any other use.

14. It is imperative that the reader be aware that the appraiser is not qualified to inspect or render an opinion as to the condition, adequacy or operation of fire detection, smoke detection or carbon monoxide detector systems which may be located on the premises. The appraiser assumes no responsibility whatsoever for the lack of, or condition of, detection devices nor does the Appraiser warrant compliance in any manner of such equipment, if present.

15. It is assumed that the income and expense information provided to us pertaining to the property is accurate and factually correct. The appraiser reserves the right to amend their estimate of market value if information provided is found to be inaccurate or if additional information becomes available.

Summary Salient Facts

Property Details			
Authorized User:	DRAFT		
Municipal Address:	1625 Albion Road, Toronto		
Location:	Southwest corner of Albion Road and Martin Grove Road, in the city of Toronto		
Property Type:	Mixed use building		
Effective Date:	November 14, 2025		
Inspection Date:	November 14, 2025		
Legal Description:	PT LT 36, CON 2 FRONTING THE HUMBER AS IN TB336871 ETOBICOKE , CITY OF TORONTO		
Purpose of Appraisal:	Estimate current market value		
Function of Appraisal:	Internal consideration		
Exposure Time:	1 to 4 months		
Property Rights Appraised:	Leased fee		
Bldg Description			
Use:	Commercial/ Office		
Building Size:	25,874 sf	Source:	Reported
Remaining Economic Life:	35 years	Year Built:	2003
Comments			
The subject site is irregular in shape and contains approximately 34,208 square feet (0.79 acres), as reported by Geowarehouse. It has a frontage of about 227 feet along the south side of Albion Road and approximately 150 feet along the west side of Martin Grove Road. The property is located within the Silverstone community of the City of Toronto. The site is improved with a two-storey, multi-tenant mixed-use building constructed in 2003, providing a total gross floor area of approximately 25,874 square feet above grade, along with a finished basement level. The ground floor contains nine commercial units, the second floor includes five office units, and the basement level contains 12 commercial units. The building is constructed with a steel frame superstructure, brick exterior walls, and a flat roof reportedly finished with a tar and gravel membrane (the roof was not inspected). The structure is supported by a poured concrete foundation.			
Final Value Estimate			
\$9,330,000			

Terms of Reference

PURPOSE AND INTENDED USE OF APPRAISAL

To estimate the current market value of the leased fee interest of the described real property. It is my understanding the appraisal shall be used for internal consideration.

DEFINITION OF VALUE

For the purpose of this valuation, market value may be defined as follows:

"The most probable price which a specified interest in real property is likely to bring under all of the following conditions:

1. Consummation of a sale occurs as of a specified date.
2. An open and competitive market exists for the property interest appraised.
3. The buyer and seller are each acting prudently and knowledgeably.
4. The price is not affected by undue stimulus.
5. The buyer and seller are typically motivated.
6. Both parties are acting in what they consider their best interest.
7. Marketing efforts were adequate, and a reasonable time was allowed for exposure in the open market.
8. Payment was made in cash in Canadian dollars or in terms of financial arrangements comparable thereto.
9. The price represents the normal consideration for the property sold, unaffected by special or creative financing or sales concessions granted by anyone associated with the sale."

EXPOSURE TIME

The estimate of value contained herein is based on a reasonable period of exposure (the time a property remains on the market) and on the following premise:

The estimated length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal; a retrospective estimate based upon an analysis of past event assuming a competitive and open market. Exposure time is always presumed to occur prior to the effective date of the appraisal. The overall concept of reasonable exposure encompasses not only adequate, sufficient and reasonable time but also adequate, sufficient and reasonable effort. Exposure time is different for various types of real estate value ranges and under various market conditions.

Scope of Work

The scope of the work encompasses the necessary research and analysis to prepare a report in accordance with the intended use and the Uniform Standards of Professional Appraisal Practice of the Appraisal Institute of Canada. In regard to the subject property, this involved the following steps:

1. The neighbourhood section of the report was based upon a physical inspection of the area.
2. The lot area utilized in the report were obtained from Geowarehouse and MPAC.
3. In estimating the Highest and Best Use for the property, an analysis was made of data compiled in the two steps noted above.
4. In developing approaches to value, the market data used was collected from the Valsum Appraisal Services office files, Geowarehouse records, Toronto Real Estate Board MLS and other appraisers, Realtors, or persons knowledgeable of the subject property marketplace.
5. After assembling and analyzing the data defined in this scope of work, a Final Estimate of Market Value was made.
6. Building sizes of the comparable sales information have been derived from MLS listings or other sources and are assumed to be correct.

Regional Overview

The city of Toronto is the capital of the province of Ontario, Canada. It is located on the northwestern shore of Lake Ontario and is situated in the southern part of the province. Toronto is the most populous city in Canada and the fourth most populous city in North America, following Mexico City, New York City, and Los Angeles.

As of September 2021, the estimated population of Toronto was around 2.93 million people. However, please note that population figures are subject to change, and the actual population may have increased since then. Toronto is known for its cultural diversity, with residents from all over the world, making it a vibrant and multicultural metropolis.

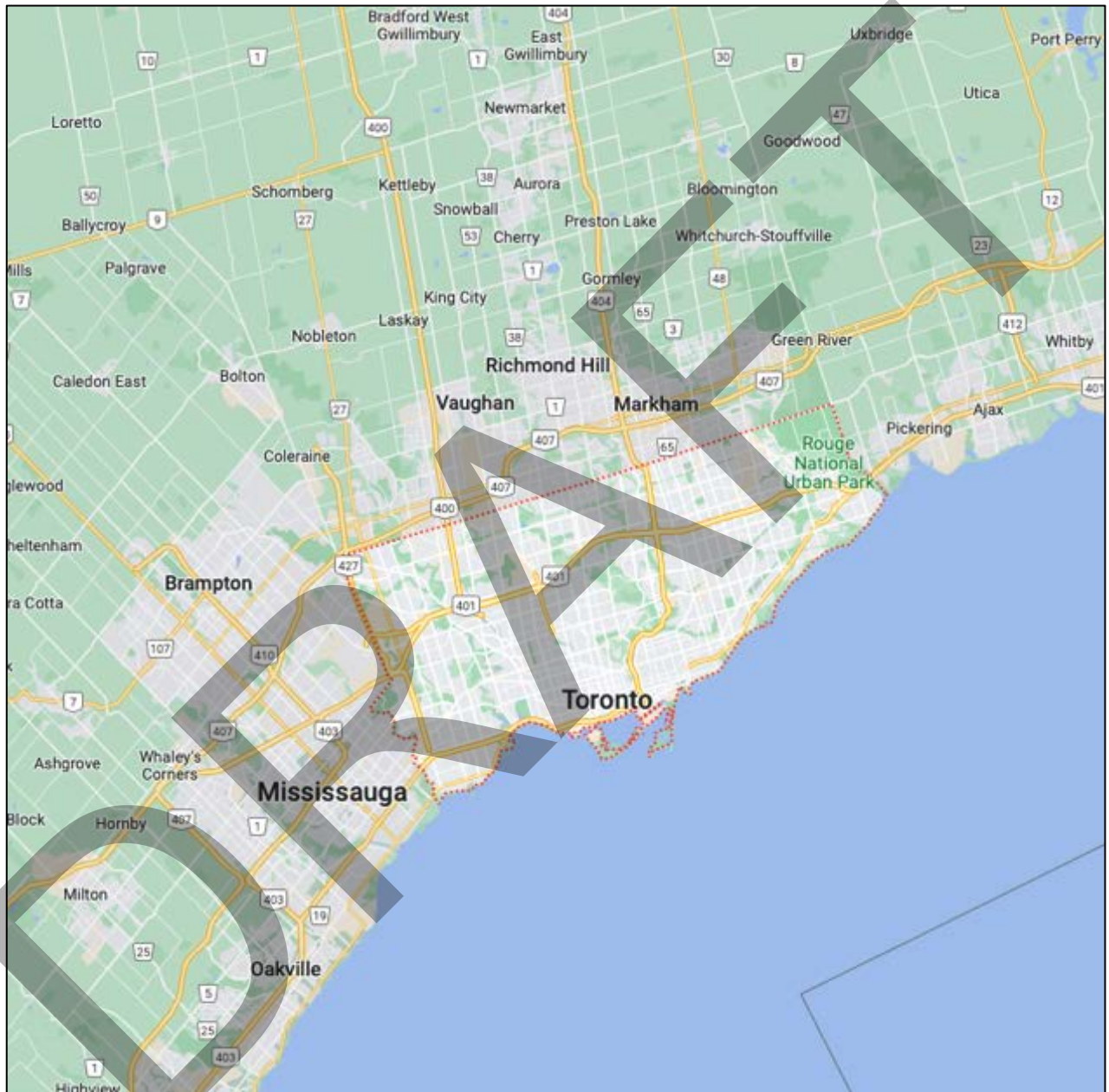
The economy of Toronto is characterized by its diversity, with a strong emphasis on finance, technology, and manufacturing sectors. In 2021, the city's GDP was estimated at \$350 billion, positioning it as the largest economy in Canada and one of the largest in North America. Toronto houses numerous major corporations and financial institutions, including the headquarters of Canada's five largest banks.

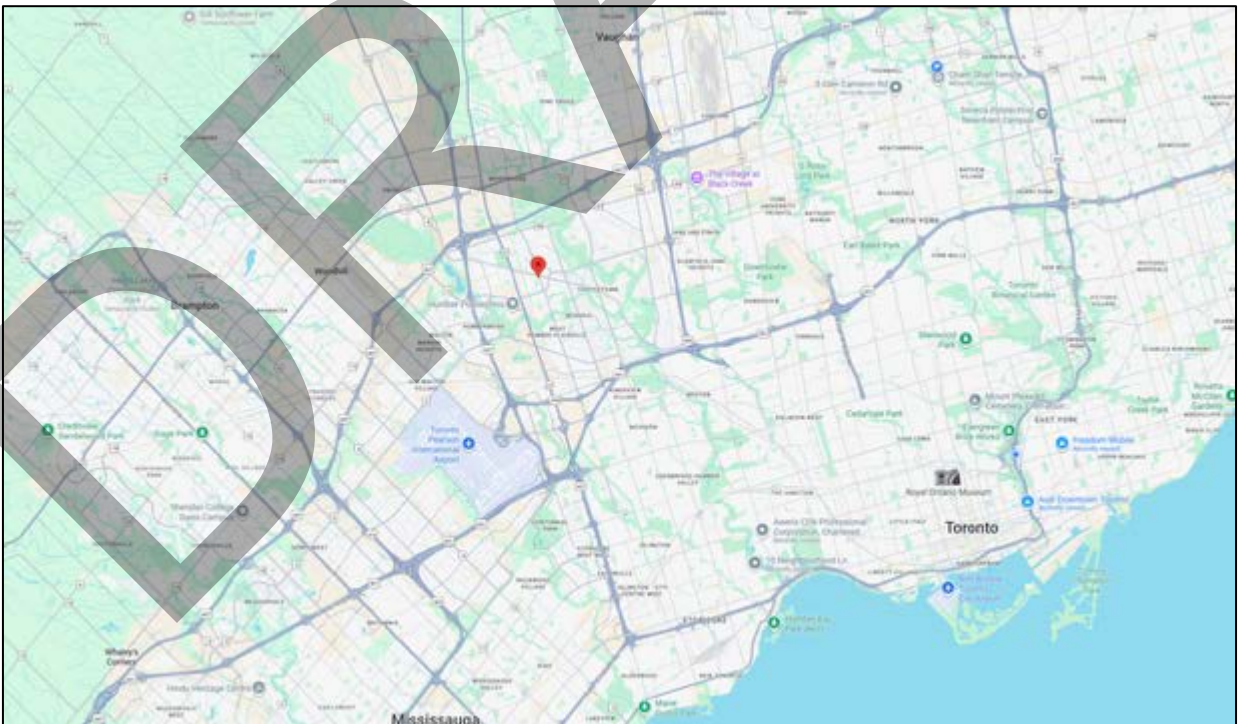
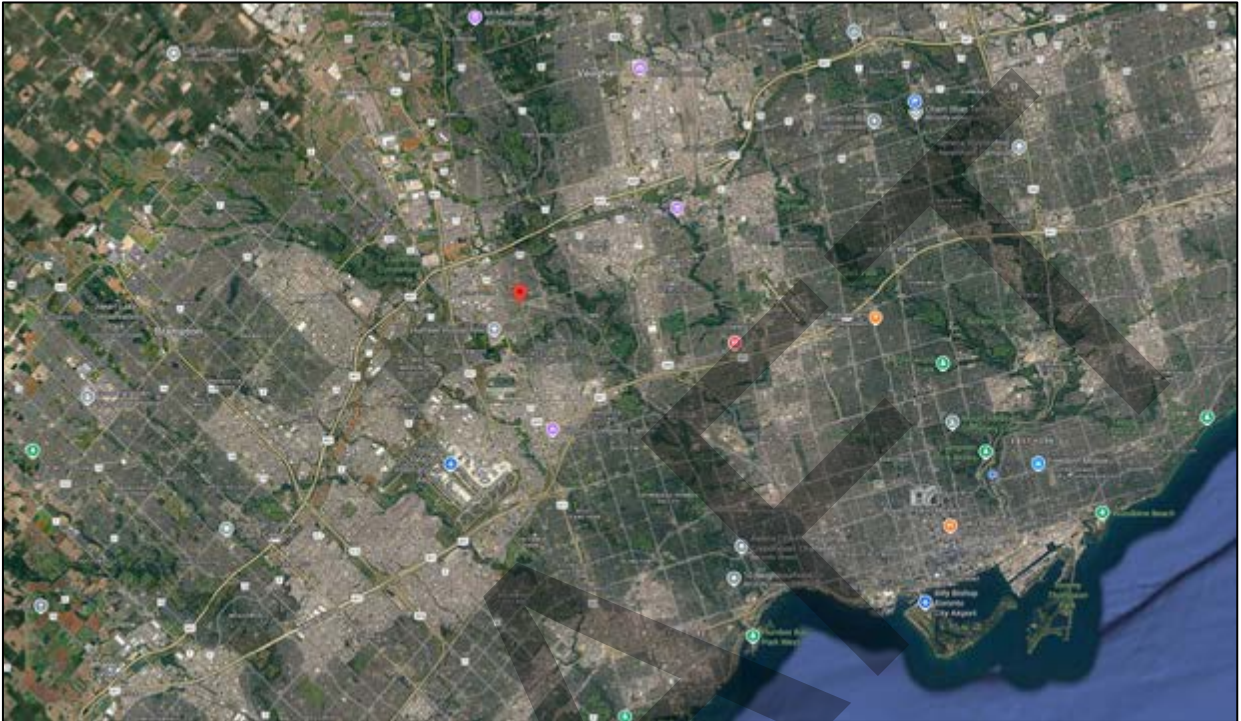
Toronto is one of the major financial centers in North America. It is home to the Toronto Stock Exchange, which is the seventh largest stock exchange in the world by market capitalization. The city has a strong and diverse economy, with key sectors including finance, technology, film and television production, healthcare, education, and tourism.

Toronto's financial sector plays a vital role in the city's economy. Many major national and international banks, insurance companies, and investment firms have their headquarters or significant operations in the city. The technology industry has also been booming in Toronto, with a growing number of startups and established tech companies choosing the city as their base.

Overall, the city of Toronto is a diverse, and economically prosperous metropolis. Its strategic location, multiculturalism, strong financial sector, thriving technology industry, and rich cultural offerings contribute to its status as a global city.

REGIONAL LOCATION MAP





DEMOGRAPHICS



Households

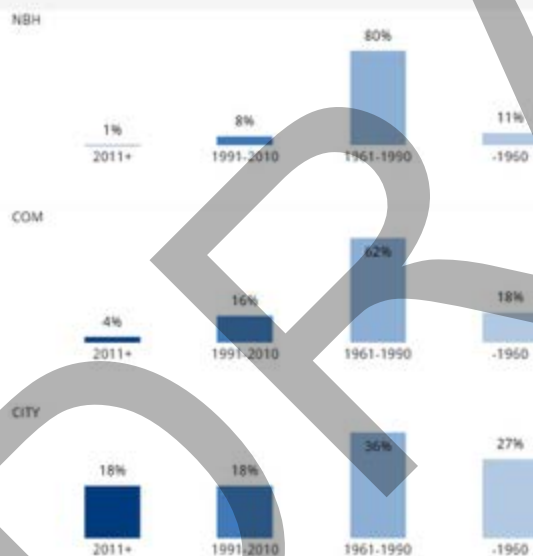
Structure Details

	Total # of Occupied Private Dwellings	Dominant Year Built
NBH	320	1961-1980
COM	17,351	1961-1980
CITY	1,272,373	1961-1980

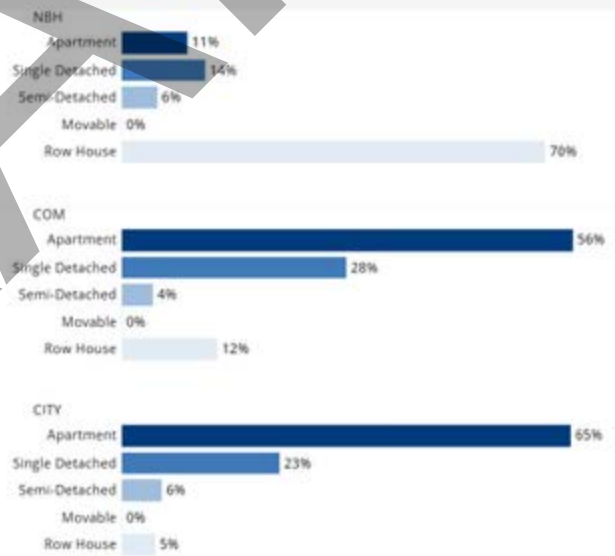
Ownership

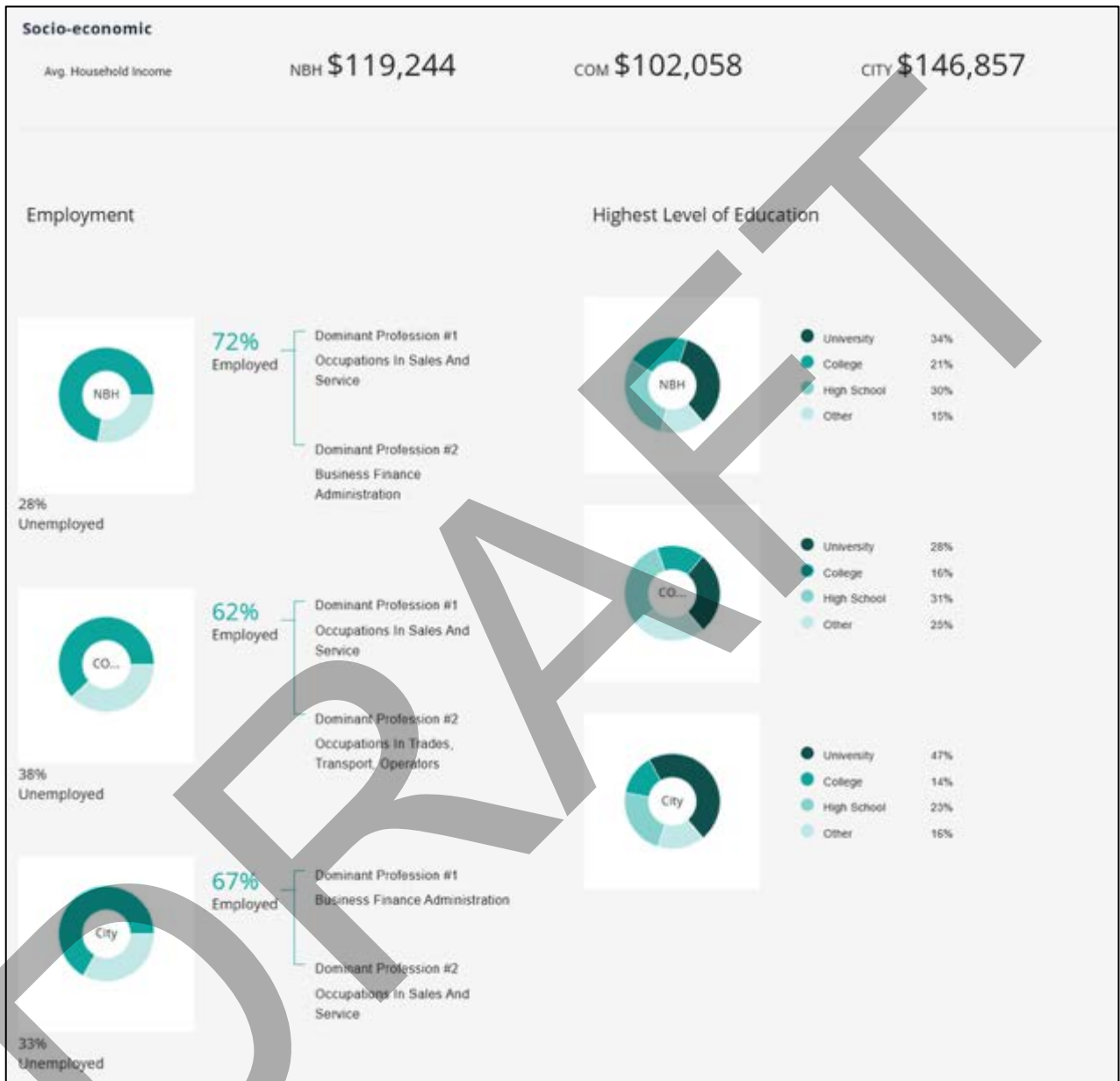
	Owned	Rented
NBH	89%	11%
COM	54%	46%
CITY	51%	49%

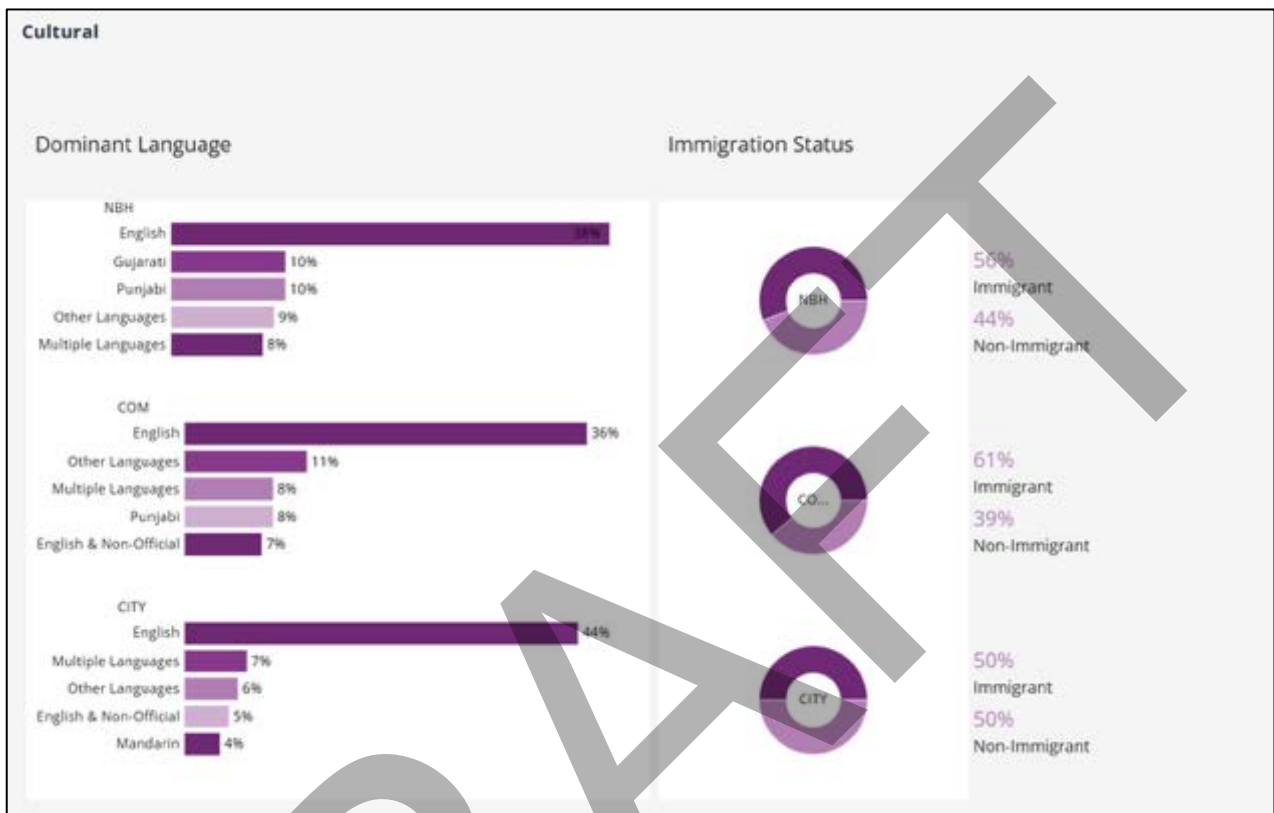
Age of Home (Years)



Structural Type







Neighbourhood Overview

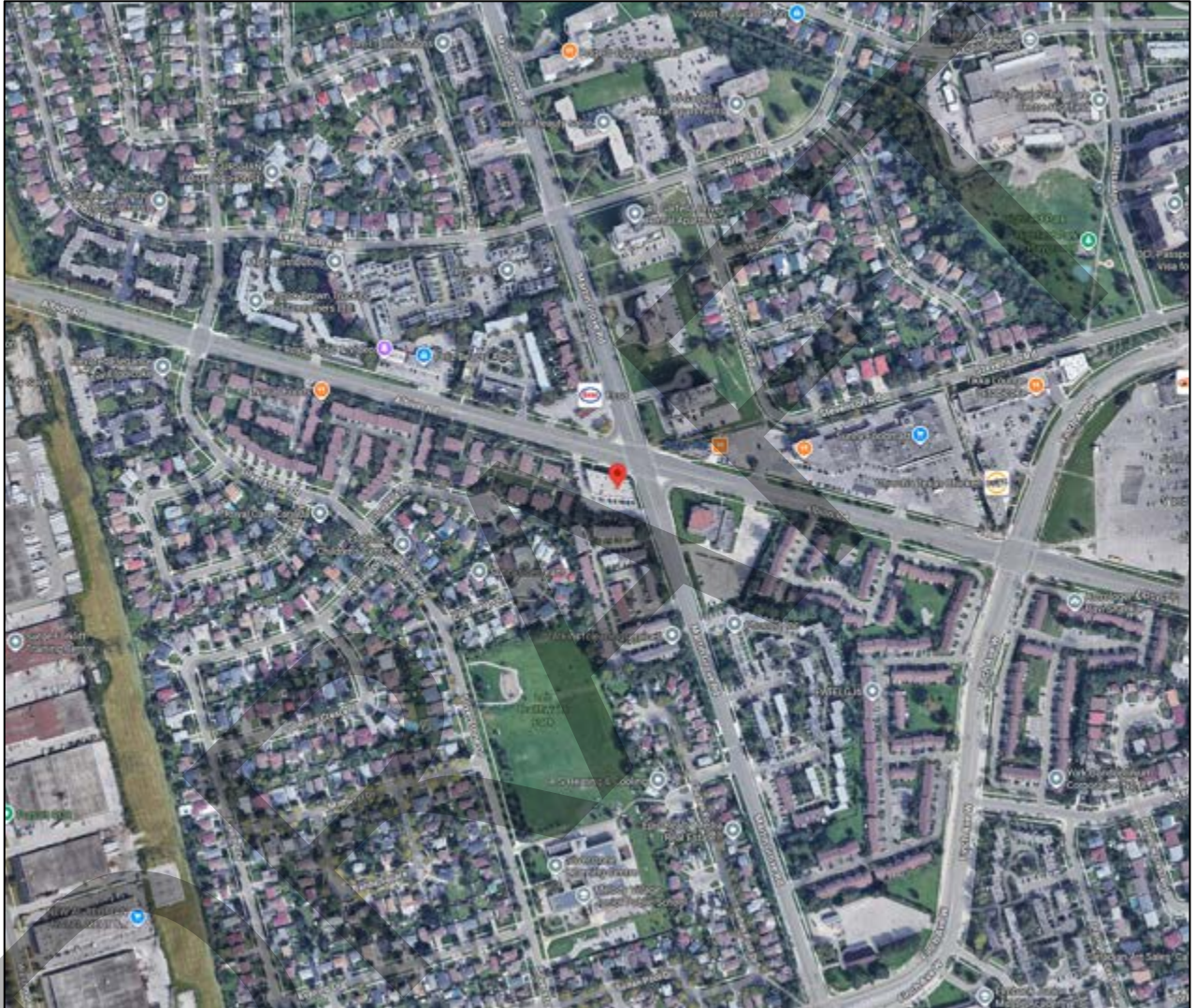
The subject property is located within the residential neighborhood of Silverstone located in the northwestern part of Toronto, Ontario, Canada. The neighbourhood offers a blend of suburban comfort and urban amenities, making it an appealing choice for families, professionals, and retirees alike. Silverstone is one of the neighbourhoods that comprise Rexdale, which is the area that covers the north part of the Etobicoke district.

This is a culturally diverse neighbourhood, with residential areas primarily made up of detached homes, townhomes and apartment buildings. While the neighborhood itself is mainly residential, residents have access to a variety of local amenities, including shops, schools, and parks, which contribute to the local economy. On the west side of the neighbourhood is an employment district and Woodbine Racetrack and Casino and Woodbine Mall are located along Rexdale Boulevard.

Transportation options in the area are plentiful, although it is worth noting that congestion can be experienced during peak hours. Martin Grove Road and Albion Road serve as the main arterial roads running through the neighbourhood, facilitating the movement of vehicles and pedestrians. For those traveling further afield, Highway 427 is located to the west of the neighbourhood and Highway 407 is located to the north, providing easy access to other parts of the Greater Toronto Area. Public transportation is well-served in the area, with the Toronto Transit Commission (TTC) operating bus service throughout the neighborhood.

Overall, this is a dynamic neighborhood characterized by economic vitality, a strategic location, and strong transportation connectivity, positioning it as a significant contributor to Toronto's urban landscape.

NEIGHBOURHOOD MAP



Site Description

SITE SIZE AND FRONTAGE

The subject property has a site area of 34,208 square feet, or approximately 0.79 acres. It benefits from strong roadside exposure, with a frontage of about 227 feet along the south side of Albion Road and approximately 150 feet along the west side of Martin Grove Road.

SHAPE AND TOPOGRAPHY

The development's lot is irregular in shape and appears to be at the grade level established by the streets.

SITE ACCESS AND EASEMENTS

The site has one access point from Albion Road and one from Martin Grove Road. There does not appear to be any unfavourable easements. Title however, has not been searched.

MUNICIPAL SERVICES

Full municipal services, including storm and sanitary sewers, water, hydro, paved roads, street lights, natural gas and police and fire protection, are available to the subject property.

SOIL CONDITIONS

I have not undertaken a detailed soil analysis and as I am not qualified to comment on soil conditions, I have assumed that there are no contaminants affecting the site. However, a full environmental assessment would be required for certainty and any cost of remedy could potentially impact the value conclusions contained herein. The sub-soil is assumed to be similar to other lands in the area and suitable in drainage qualities and load bearing capacity to support the existing development.

ASSESSMENT & TAXES

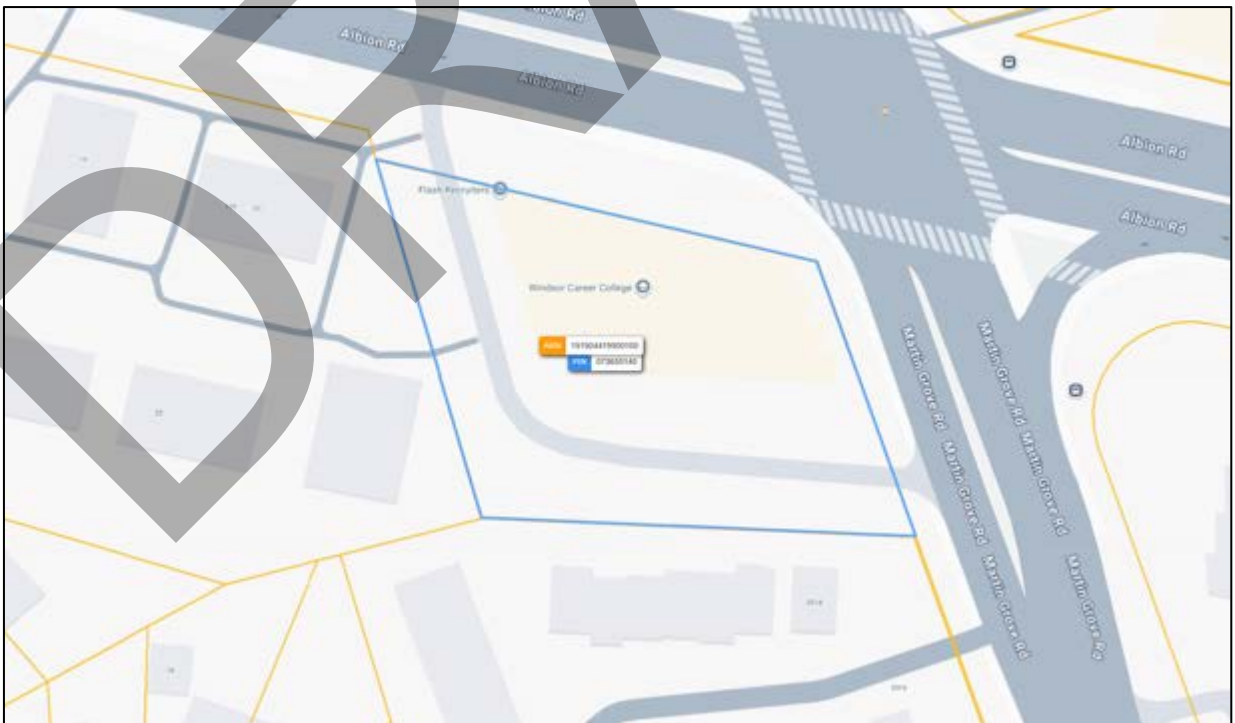
Assessment 2025: \$4,385,000

Realty Taxes 2025: \$98,534

REGISTERED OWNERSHIP

According to MPAC records, the subject property was acquired on May 10, 2011 for a consideration of \$2,480,000 by 1239717 Ontario Inc.

SITE CONFIGURATION



Land Use Controls

Official Plan: Neighbourhoods

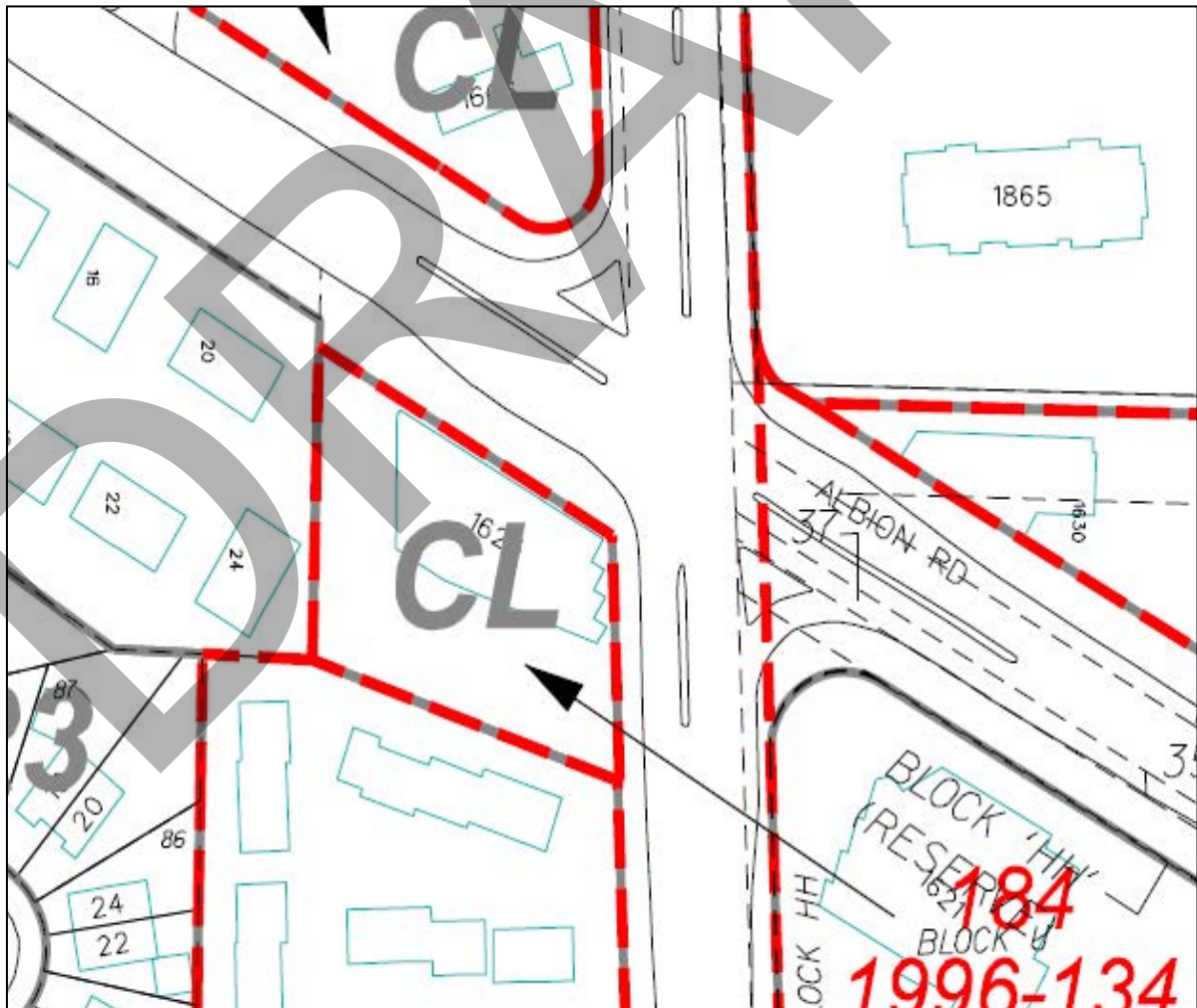
Zoning: CL – Limited Commercial Zone

By-Law No: 11373 (Former Etobicoke)

Status: Legal and Conforming

The Official Plan designates the subject property as Neighbourhoods. The site is zoned Limited Commercial Zone, which permits a broad range of commercial uses, including retail, service commercial, and office activities. Based on available zoning information, the subject property appears to represent a legal use.

ZONING MAP



PERMITTED USES

§ 320-91. Permitted uses.

No building, structure or land shall be used and no building or structure shall be hereafter erected, structurally altered, enlarged or maintained, except for the following uses:

- A. Residential: one-family detached dwellings; duplex dwellings; lodging-houses; apartment houses; dwelling units above a business use; and group homes, as defined in §§ 320-3B and 320-24.1. (See also By-Law No. 2854.⁷)
[Amended 1979-06-25 by By-Law No. 1979-165; 1979-07-23 by By-Law No. 1979-177; 1981-10-05 by

By-Law No. 1981-297; 1986-01-13 by By-Law No. 1986-12]

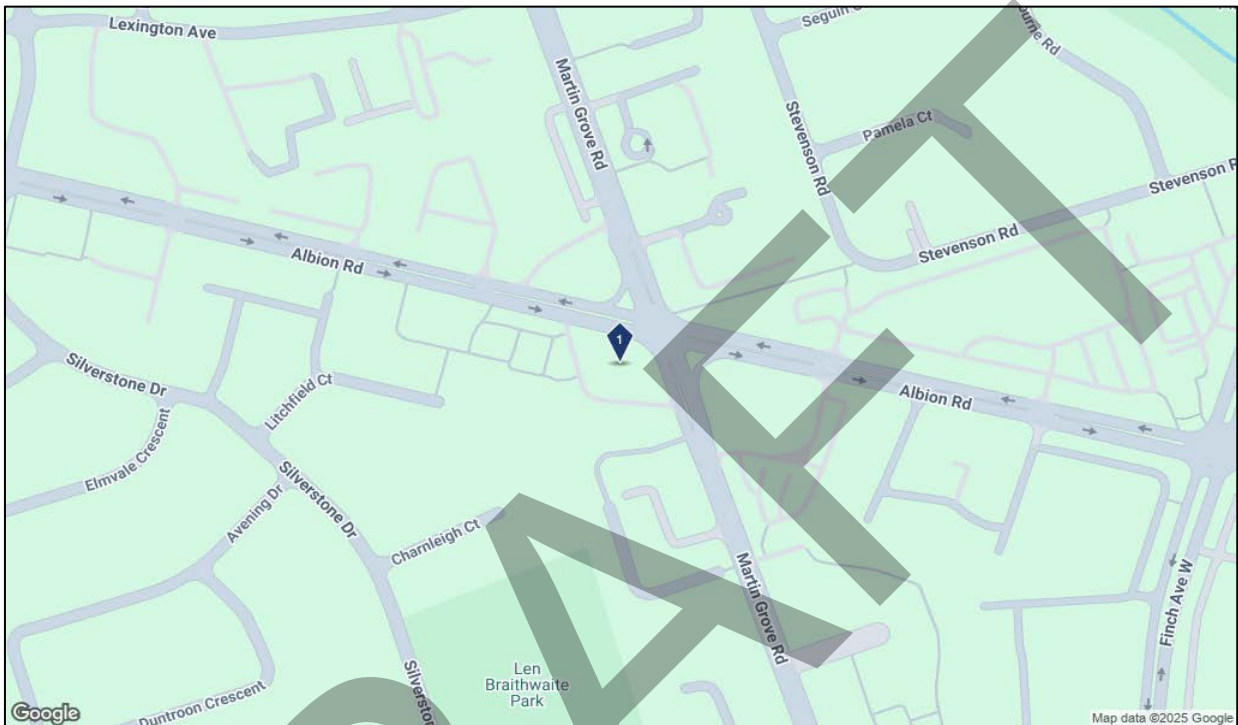
B. Business.

- (1) The following types of uses: neighbourhood stores (see the definition of “neighbourhood store” in § 320-3B); bakery shops; banks; clothes cleaning agencies or pressing establishments; confectionery stores; custom dressmaking and millinery shops; florist and gift shops; hotels; jewellery stores; laundry agencies; offices, business and professional; photographers; shoe stores and shoe repair shops; tailor; clothing and wearing apparel shops; theatres; undertaking establishments; service stations and public garages; public parking areas; bowling-alleys; dry-cleaning plants using non-combustible cleaning solvents; customer-operated automatic laundries; new and used car sales rooms and lots (other than lots for the sale of trailers that are suitable for being attached to a motor vehicle for the purpose of being drawn or propelled by the motor vehicle and capable of being used for the living, sleeping or eating accommodation of persons), provided that they are used only on the same lot as and as a subsidiary of and in conjunction with a new car sales agency; nursery schools and day nurseries; health centres; commercial schools; athletic clubs; social clubs; amusement devices; game establishment – Types A, B and C (see the definition of “amusement device” in § 320-3B); convenience restaurants; take-out restaurants; standard restaurants; one (1) food vending cart, except on a corner lot where a second food vending cart will be permitted; medical centres; and medical and dental offices. **[Amended 1960-01-18 by By-Law No. 12,100; 1964-04-06 by By-Law No. 14,392; 1965-01-05 by By-Law No. 14,732; 1970-10-13 by By-Law No. 1799; 1972-03-27 by By-Law No. 2327; 1978-07-04 by By-Law No. 1978-199; 1978-12-11 by By-Law No.**

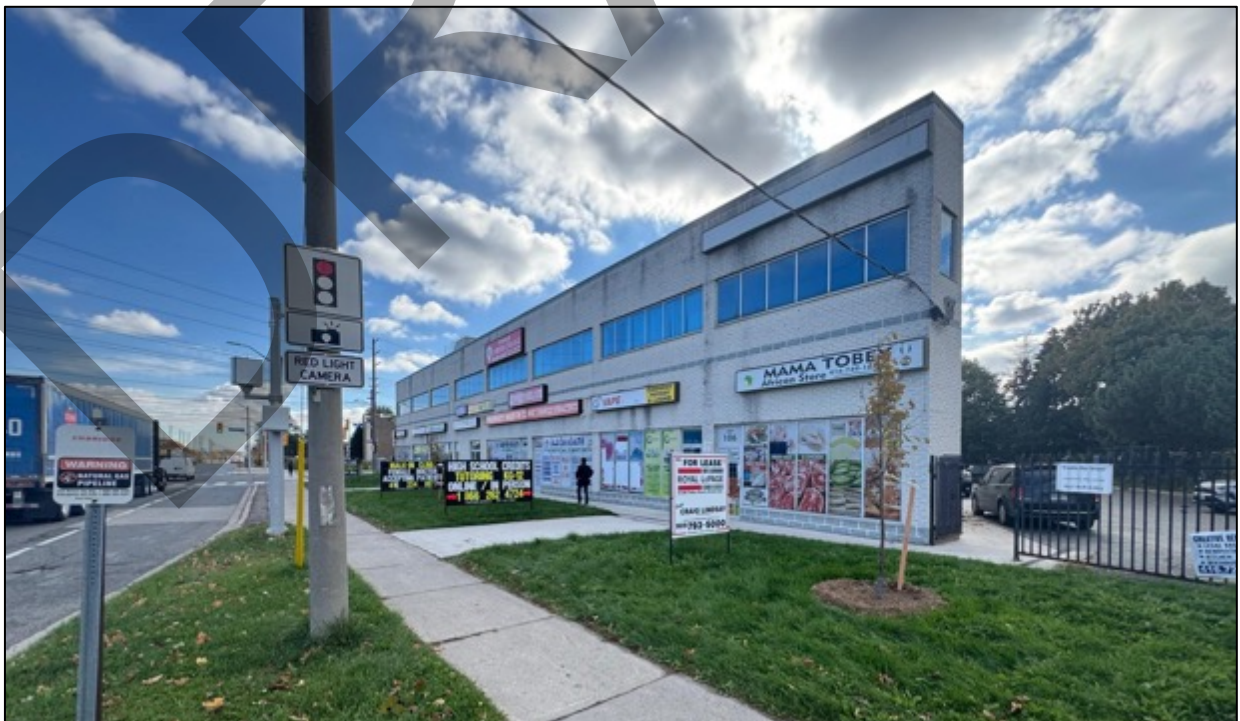
1978-338; 1981-03-09 by By-Law No. 1981-60; 1982-12-13 by By-Law No. 1982-264; 1987-05-19 by By-Law No. 1987-97; 1994-08-19 by By-Law No. 1994-139]

- (2) Lot No. 3 according to Registered Plan No. 2131 may, in addition to such uses, be used for the manufacture of confectionery.
- C. Institutional: schools (public, separate, private and nursery); colleges; churches; church halls; Sunday schools; libraries; museums; art galleries; fraternal societies; and day nurseries and nursery schools, as defined in § 320-3B. **[Amended 1985-09-09 by By-Law No. 1985-208]**
- D. Public: municipal, provincial or federal government buildings; fire halls; police stations; monuments; rest-rooms; community centre; and parks and playgrounds. **[Amended 1970-10-13 by By-Law No. 1799⁸]**
- E. Accessory uses: private garages; neighbourhood garages; and television antennae.⁹
- F. Parking space. Parking space shall be provided as required under § 320-18. **[Added 1970-10-13 by By-Law No. 1799]**

AERIAL



Photographs of Subject Building







Description of Improvements

Bldg Description			
Use:	Commercial/ Office		
Building Size:	25,874 sf	Source:	Reported
Remaining Economic Life:	35 years	Year Built:	2003

BUILDING IMPROVEMENTS

The subject property is a mixed-use building constructed in 2003, featuring a steel-frame superstructure with brick exterior walls. It is supported by a poured concrete foundation and topped with a flat roof deck finished with a built-up tar and gravel membrane (the roof was not inspected). The building is two storeys in height and includes a finished basement. It contains nine commercial units on the main floor, five office units on the upper floor, and 12 commercial units on the basement level. Approximately 59% of the gross leasable area is currently vacant.

The front of the building faces Albion Road, where seven commercial units are configured with street-front retail exposure and private entrances. Additional access to the building is provided from the sides and the rear parking lot. Interior circulation is organized around an open atrium, from which the commercial units are accessed. The upper floor includes a central hallway with windows overlooking the atrium. Common washrooms are provided on each floor.

The main-floor commercial units are occupied by various local independent businesses, including a beauty salon, physiotherapy clinic, pharmacy, dental clinic, and grocery store. Each unit has been individually improved to suit its use. Most of the upper-floor and basement units are vacant, with one upper-floor unit occupied by a private school and one basement unit occupied by the management office.

Interior finishes generally include hardwood, carpet, vinyl, and ceramic tile flooring; painted gypsum board walls; and a combination of gypsum board and suspended acoustic tile ceilings. Lighting is provided by fluorescent panel fixtures and recessed pot lights. Heating and cooling are supplied by rooftop HVAC systems.

LOADING AND PARKING

There is on-site surface parking located along the west and south sides of the property.

PAVING AND LANDSCAPING

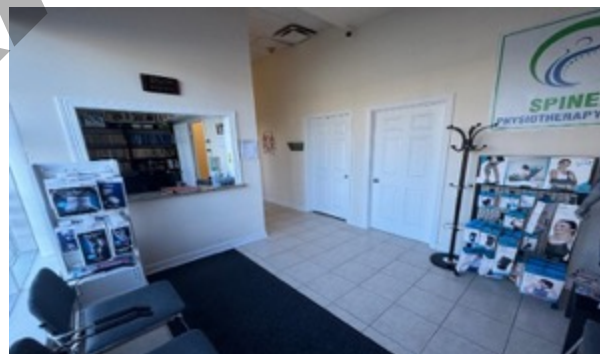
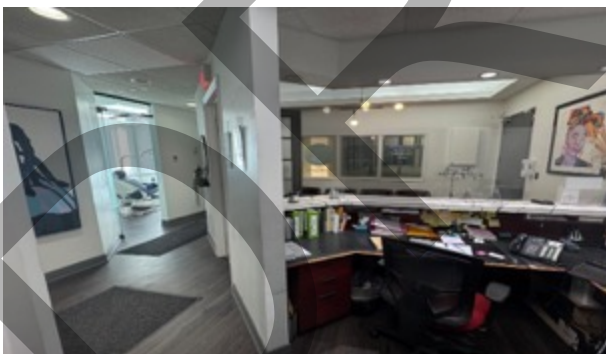
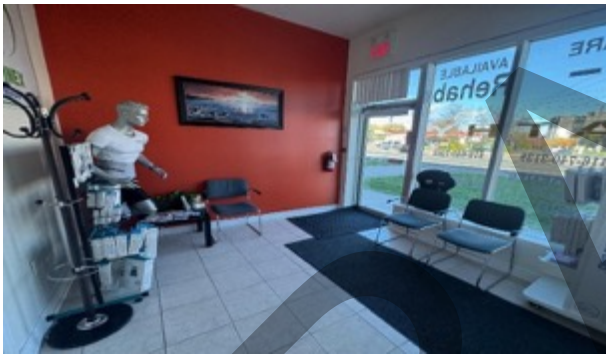
The site is paved along the west and south sides, and landscaping is provided along the street frontages with narrow sod strips.

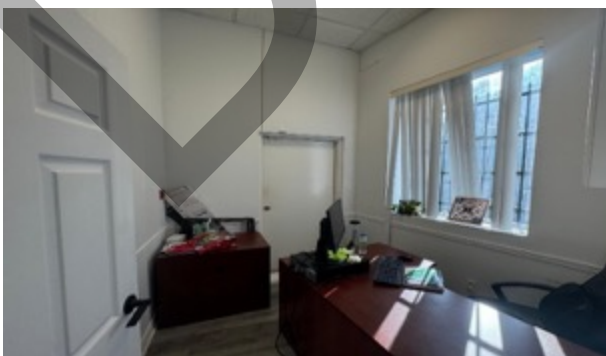
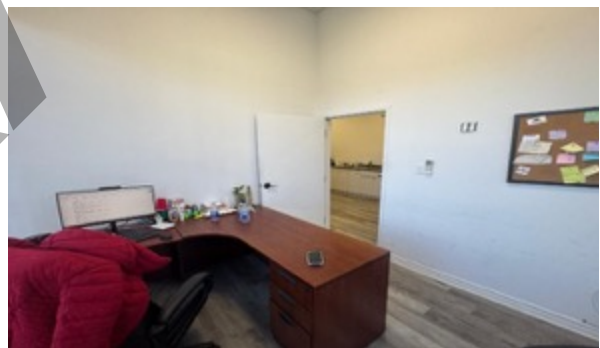
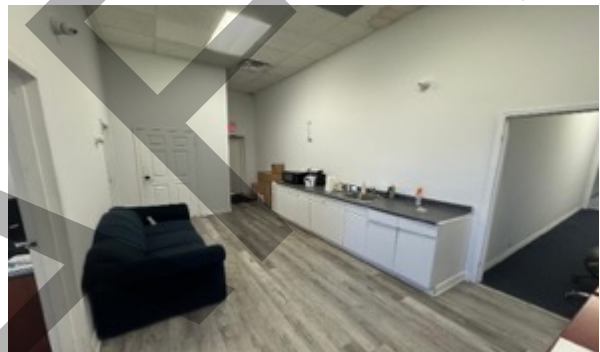
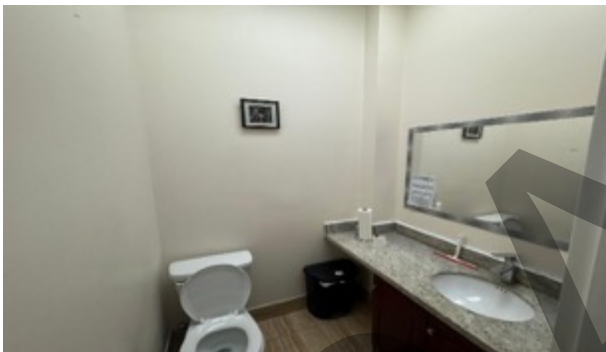
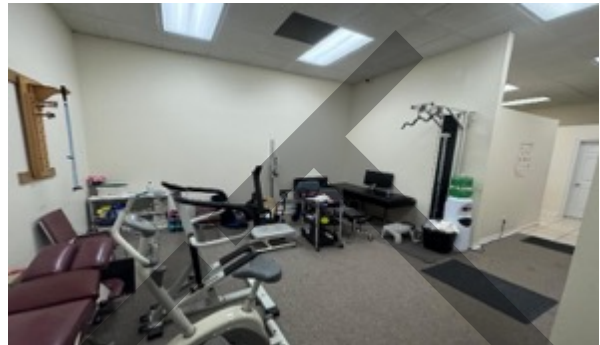
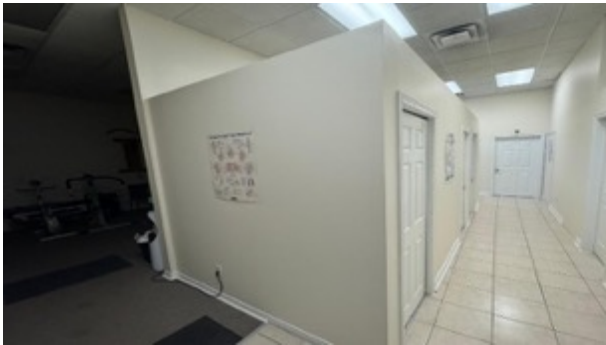
OVERALL CONDITION

The subject is a well-maintained mixed-use building that appears to be well-designed and offers good utility. They are readily marketable and seems to be in good condition.

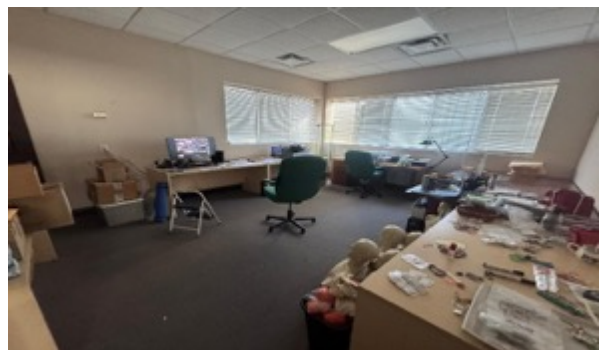
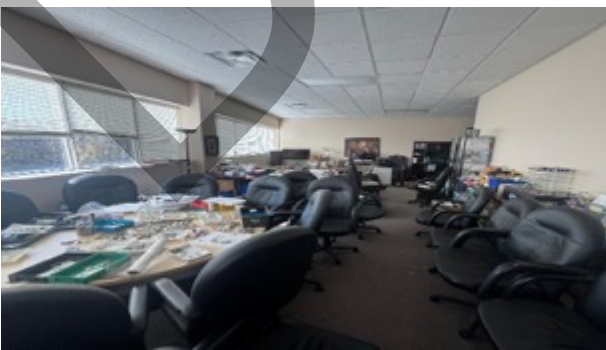
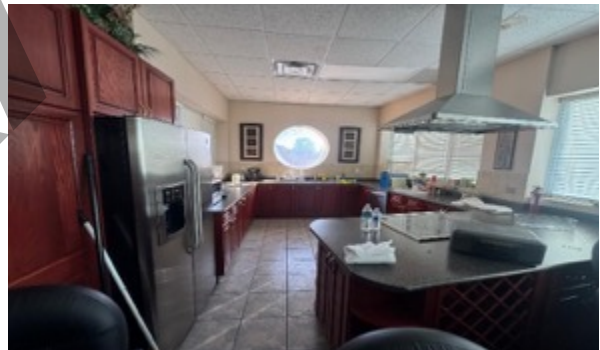
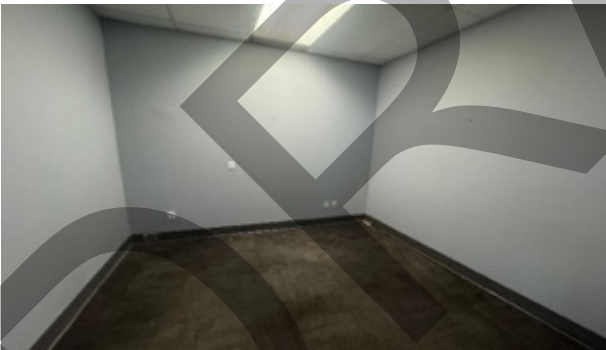
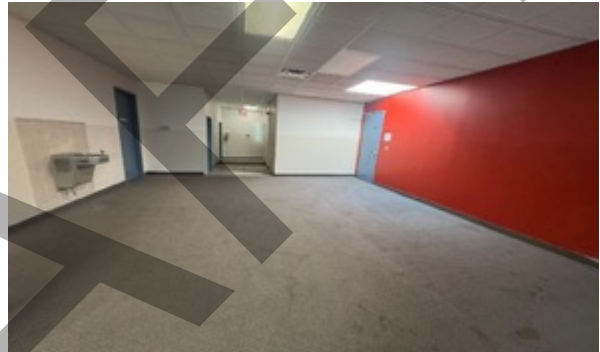
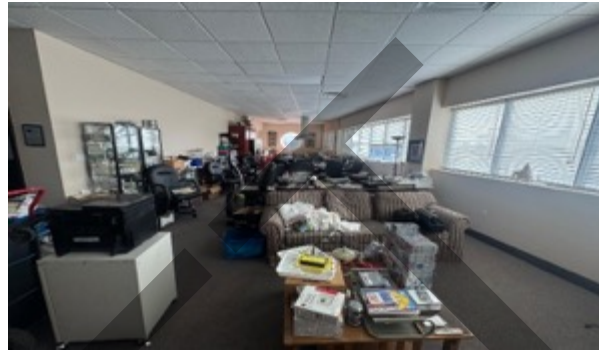
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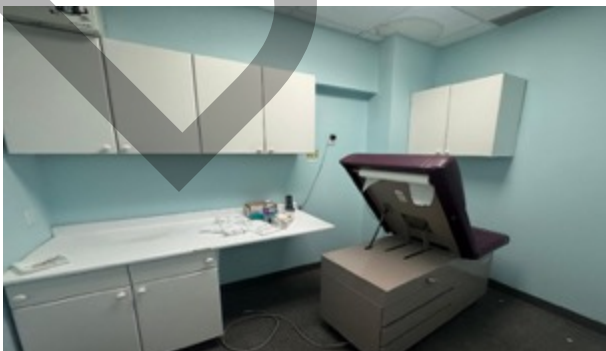
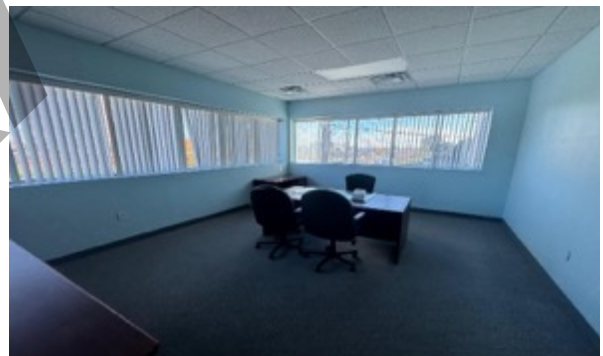
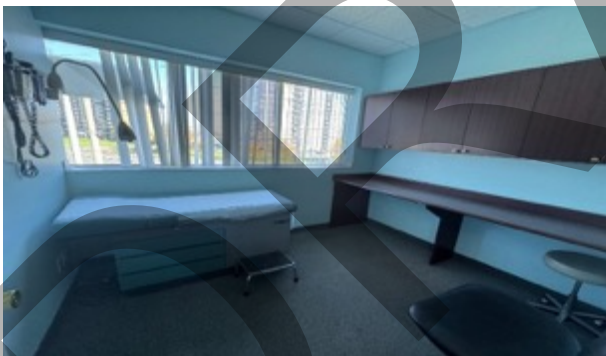
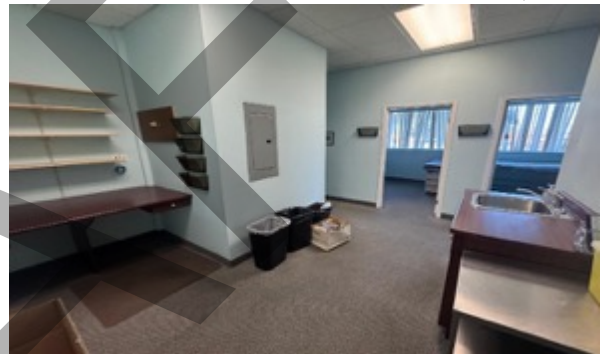
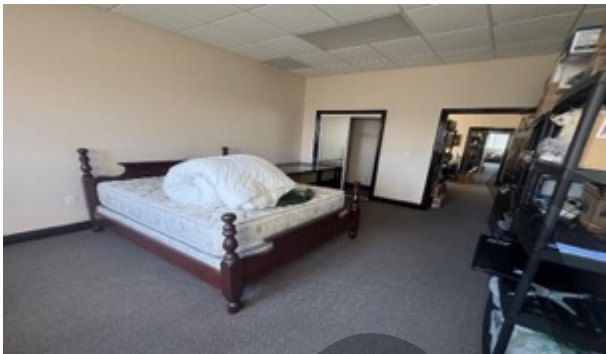
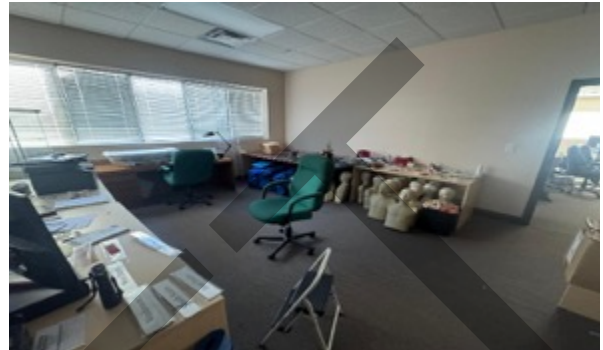
Photographs of Subject Interior

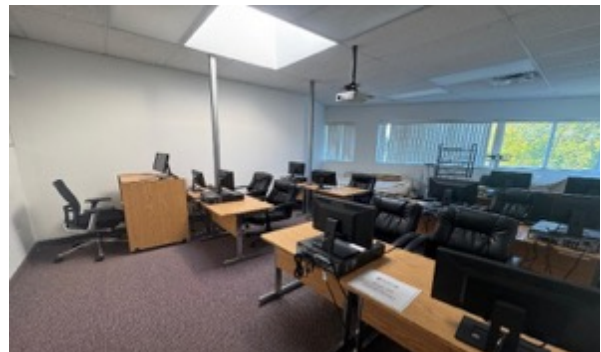
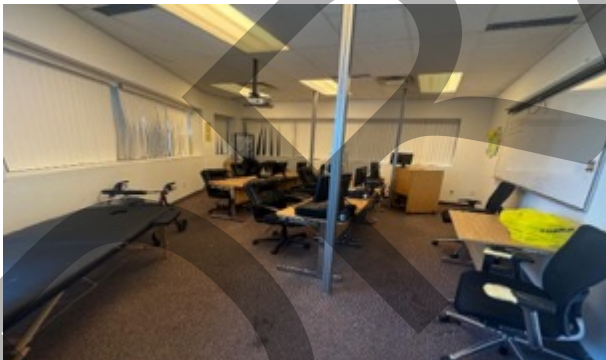


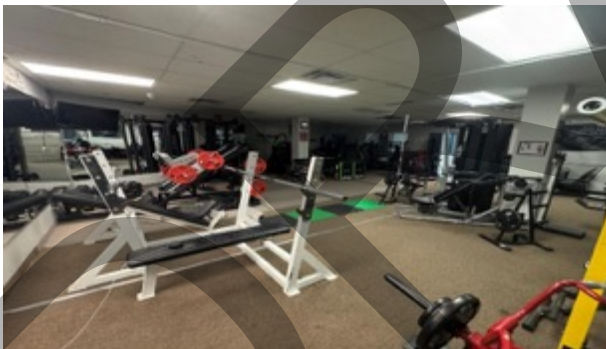
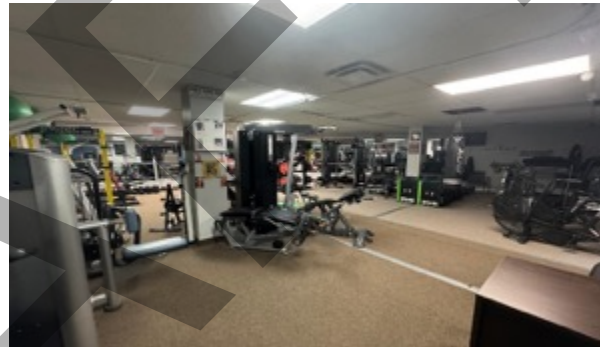












Economic Overview



October 2025

Monthly Economic Letter

Trade uncertainty: Explore solutions, resources, and tools for your business.

Economic spotlight

Canadian outlook

Provincial outlook

Tariffs: Current and future impacts on the Canadian economy

Six months ago, the U.S. government announced a sweeping international tariff regime that sent shockwaves through financial markets and sparked predictions of imminent global recession.

While the Canada-U.S. trade relationship has yet to stabilize, the economic impacts have remained limited...for now. This month's economic letter takes stock of how tariffs are affecting Canada. Is the worst behind us or still to come?

Where we stand

Tariffs may be making fewer headlines than they were six months ago, but their effects on the Canadian economy are real and continue to evolve rapidly.

Among the most recent developments was a general increase in U.S. tariffs on Canadian products to 35% from 25% on all products not covered by the free trade agreement between Canada, the United

States and Mexico.

Thanks to that trade agreement 85% of Canada's trade with the U.S. is still exempt from tariffs. However, specific tariffs on certain sectors remain in place. These include 25% on autos and 50% on steel and aluminum (and products containing steel/aluminum). More recently, others have been added to the list, including 50% on copper and 45% on lumber.

On July 30, the White House also suspended the de minimis duty-free exemption, which allowed packages valued at less than US\$800 to enter the U.S. without customs duties. This suspension is hurting many Canadian small and medium-sized businesses that sell directly to U.S. customers.

Products	Customs duty (effective October 14, 2025)
Energy and potash	10%
Motor vehicles	25%
Upholstered wood furniture	25%
Kitchen and vanity cabinets	25%
All products (excl. CUSMA)	35%
Lumber and softwood lumber	45.2%
Aluminum and derivatives	50%
Copper and derivatives	50%
Steel and derivatives	50%

25% tariff on upholstered furniture, which will increase to 30% on January 1.

25% tariff on kitchen cabinets and vanities, which will increase to 50% on January 1.

25% tariffs on heavy trucks as of November 1.

New threats of 100% on audiovisual productions and 100% on brand-name or patented drugs have been mentioned, but details are not available at this time.

For its part, Canada has lifted many of its retaliatory tariffs on the United States. Only 25% tariffs on autos, steel and aluminum remain.

Diversification of our exports—not so fast

Canadian exports fell by 2.8% in August, mainly due to tariff increases. Metal-related sectors, where tariffs were doubled to 50%, experienced sharp declines, as did lumber (-25.4%).

The slowdown was widespread, affecting 8 of the 11 major sectors. Despite slight increases in energy, aviation and consumer goods, losses in metals, lumber and agriculture dominated.

Export diversification has yet to show up in the data. Despite the sharp decline in exports to the U.S. (nearly 30% since January), this market still accounts for 75% of total Canadian exports. Exports to other countries have also declined in recent months due to Chinese tariffs on our agricultural products and an ongoing global economic slowdown.

Still too early to talk about a diversification of Canadian exports

Monthly Canadian exports, seasonally adjusted, by balance of payments



Sources: Statistics Canada, BDC.

Enlarge the table

Some producers have managed to hold their own, at least in part. Such is the case with aluminum. Before the tariffs, over 94% of Canadian aluminum was destined for the United States. The share going to the U.S. market remains very high, but has fallen by 24%, while exports to other European countries have risen rapidly. Exports to the Netherlands were up 74% on last year.

While export diversification remains limited, imports from countries other than the U.S. continue to rise, suggesting that Canadian companies may be finding it easier to diversify their suppliers than their customers.

Employment suffers in the most affected sectors

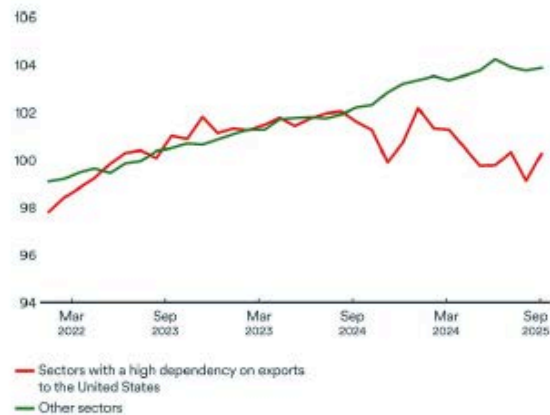
Weak exports are slowing the Canadian economy as a whole. The extent and duration of the slowdown will depend on how businesses react to various tariff announcements.

Job losses have been observed in sectors heavily exposed to U.S. trade since the beginning of the conflict, but employment remains stable elsewhere for now. In general, the labour market reacts slowly to economic changes, as hiring and training employees takes time and is costly.

Before unexpected job gains in September (+40,700), sectors with a high dependence on exports to the U.S. had lost more than 100,000 positions since January. The Bank of Canada estimates that nearly two million jobs in the country depend on U.S. exports.

Employment fell particularly in sectors directly affected by customs duties

Employment index, seasonally adjusted



Sources: Statistics Canada, BDC.

No surge in inflation...for now

The impact of higher costs due to tariffs will depend heavily on demand and inflation expectations. A tariff is essentially a tax paid by importers. Even though the Canadian government cancelled most of its retaliatory tariffs in September, Canada is not immune to tariff-related inflation in the coming months.

Before this year's rounds of U.S. tariffs, inflation had returned to the Bank of Canada's 2% target and price pressures were limited. But the arrival of the tariffs has complicated the situation by hampering exports and employment.

This slows demand and puts downward pressure on inflation in Canada. Other factors, such as the elimination of the carbon tax, have also helped keep inflation low in recent months.

However, the risk of seeing inflation flare again remains.

This is because the consumer price index reflects household consumption, so categories such as transportation, healthcare and furniture have a significant weight due to their direct impact on consumers.

Many of these goods are imported, making the CPI sensitive to global supply chain dynamics and exchange rate fluctuations in general. However, the tariffs imposed to date have been felt more by businesses than consumers.

Moreover, the Canadian dollar has remained weak since the tariffs were introduced, which supports exporters. But Canadian-U.S. supply chains are closely linked, meaning higher tariffs could have a greater impact in the coming months if they remain at such high levels.

Still, as the economy slows under the weight of uncertainty, it's more difficult for businesses to pass on cost increases than was the case during the last episode of inflation in 2022, which is another factor limiting price increases in the country.

In short...

U.S. tariffs have been boosted, affecting several key sectors (metals, lumber, furniture, etc.). The Canadian economy is in turbulent waters. Canadian exports are declining, particularly to the U.S., and diversification remains limited, despite efforts to the contrary. Export diversification, therefore, remains a strategic imperative for supporting growth and reducing the vulnerability of Canadian foreign trade.

Employment in export sectors is under pressure, although the overall labour market remains stable and the sectors most vulnerable to trade rebounded in September.

Inflation remains contained for now, but cost increases for businesses could be passed on to consumers if tariffs persist.

Enlarge the table

Enlarge the table

Economic spotlight

Canadian outlook

Provincial outlook

Canada's economy shows glimmers of hope amid the cloud

After three months of decline, the Canadian economy returned to modest growth in July (+0.2% real GDP), thanks to gains in service sectors, and more reassuringly, in goods-producing industries, according to Statistics Canada.

While the mining, oil and gas sector contributed the most to the growth (+1.4%), the pleasant surprise of the month was an 0.7% gain in manufacturing, where companies have been grappling with significant challenges related to U.S. tariffs.

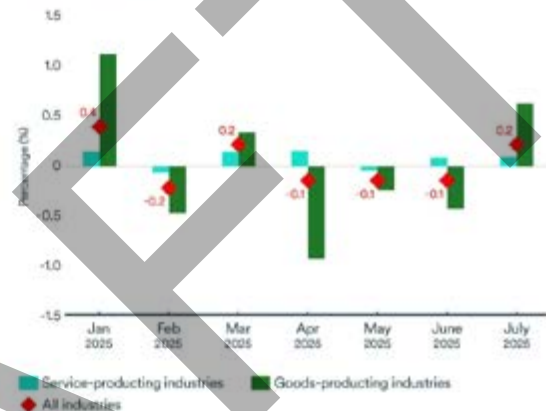
Statistics Canada's preliminary estimates showed little growth in August, and the third quarter looks to have ended on a sluggish note.

In the current context, this would still be a commendable performance. It would mean the economy avoided a second consecutive quarterly decline in real GDP (the definition of a technical recession).

However, as we enter the final quarter of the year, challenges continue to mount. GDP gains will be difficult to achieve in coming months, as uncertainty continues to weigh on business confidence and the U.S. adds new tariffs.

The Canadian economy grew in July but any momentum may have been short lived

Real GDP, monthly growth



Enlarge the table

Can households continue to support the economy?

Strong economic growth depends primarily on consumer spending, which accounts for 60% of GDP year in and year out. In the current economic climate, marked by high uncertainty, consumer demand plays an even more important role. Household confidence in the economy and strong demand for Canadian goods and services are key

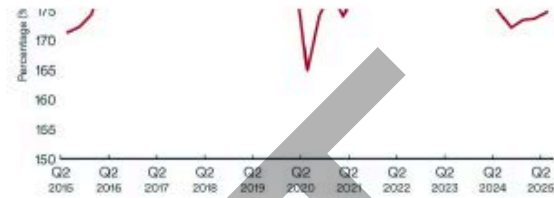
Household debt relapses as interest rates fall

Credit market debt to disposable income



factors in stimulating business investment and hiring.

High interest rates in recent years prompted many households to cut back on debt. While debt has been rising slowly since the Bank of Canada began lowering rates, Canadian consumers remain in relatively good financial shape.



Sources: Statistics Canada, BDC.

Enlarge the table

Relative to disposable income, household debt stood at 175% in the second quarter. In other words, for every \$1 of available income, households owed \$1.75, which remains among the lowest levels of the past decade. This bodes well for continued consumer spending, despite a weak job market.

Additionally, disposable income rose by an average of 3.9% in the second quarter, compared to the previous year. Although down from last year's annual increase of 5.9%, this was still higher than inflation.

Lower borrowing costs meant that indebted households had more income available after debt repayment, and Canadians responded by spending that money.

Bottom line is that households will continue to support the economy, but consumption growth will be timid.

Further cut in key interest rate in September

The Bank of Canada has signalled it believes inflation is well under control in Canada and that the risks of a surge in prices remains contained, at least for the time being. This led the bank to lower its key interest rate in September.

The headline inflation as measured by the Consumer Price Index (CPI) reached 1.9% in August. However, inflation measures favoured by the bank, which are less volatile, remain stubbornly around 3%.

The current economic slowdown, although well established, is not particularly alarming. This suggests the Bank of Canada will remain on the sidelines for now, leaving its key rate steady when it makes its October decision.

Bank of Canada lowers key interest rate but inflationary risk remains

Bank of Canada's key Inflation Indicators



Sources: Bank of Canada via Haver, BDC.

Enlarge the table

Enlarge the table

Phew! Employment is on the rise

In September, 60,400 jobs were created in Canada, after a cumulative loss of 106,000 jobs in the previous two months. A significant portion of the September job gains were generated by the private sector (+22,000), which suggests businesses are gradually regaining their footing. In other good news, employment picked up in sectors more vulnerable to tariffs where there have been significant losses since the start of trade tensions.

The unemployment rate has risen rapidly this year due to economic uncertainty, slowing hiring and an increase in the number of potential workers. Despite the job gains in September, the unemployment rate remained at 7.1% as the number of potential workers grew once again.

In July, the number of job openings fell further to just under half a million, about 15% less than a year ago.

Commodities help Prairie Provinces weather the tariff storm

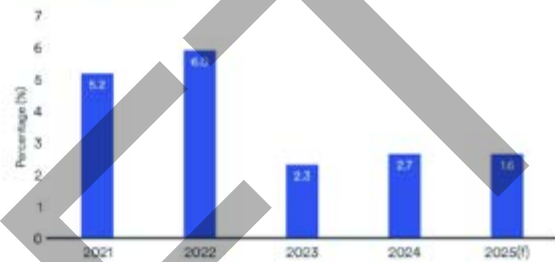
Alberta's energy sector buffers trade headwinds

Alberta's economy is expected to outperform the national average with decent growth this year. The energy sector has so far helped the province offset the impact of U.S. tariffs on its non-energy sectors.

Population growth, while decelerating, is still giving a boost to the housing sector and consumer spending in the province. While uncertainty is still high, we expect healthy job gains to continue, supporting consumer confidence in the months ahead. We forecast provincial GDP to increase by 1.6% this year, exceeding Canada's growth of 1.2%.

Alberta to remain on the leaderboard

Real GDP growth, Alberta



f = forecasts

Sources: via Haver Analytics, BDC.

Enlarge the table

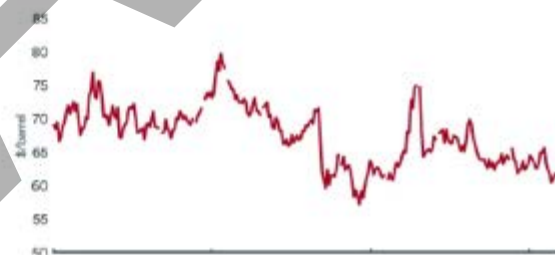
Lower oil prices hurt but are offset by higher pipeline capacity

OPEC has announced new supply increases, trade-related uncertainty persists and new tariffs keep getting announced. That's a recipe for continued low oil prices in the months ahead.

However, Alberta is being helped by lower breakeven costs and increased capacity, thanks to the TMX pipeline. Alberta's oil industry is well-positioned to maintain current output levels helping the province diversify its oil exports on one hand and offset impact of lower oil prices on the other.

Oil prices are off their highs

West Texas Intermediate, Cushing



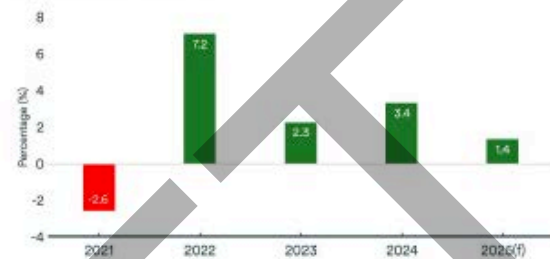
Mining and construction keep growth positive in Saskatchewan

We are forecasting lower but still positive growth for Saskatchewan this year. While Chinese tariffs on canola seeds, on top of those already in place on canola oil, have increased pressure on the economy, other sectors have helped offset the impact.

Job gains in sectors not hit by tariffs have outweighed losses in tariffed sectors, helping support consumer spending so far this year.

Lower but still positive growth

Real GDP growth, Saskatchewan



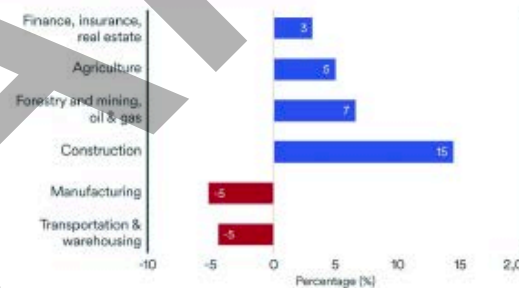
f = forecasts

Sources: via Haver Analytics, BDC.

Enlarge the table

Job gains outweigh losses in tariffed sectors

Employment change, Jan.-Sept. 2025, year-over-year



Sources: via Haver Analytics, BDC.

Enlarge the table

Tariff pain causes Manitoba to lag other provincial economies

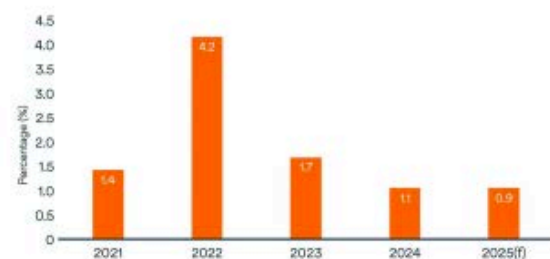
Manitoba's growth will remain under pressure in the months ahead, causing it to underperform the other prairie provinces this year.

Tariffs from trading partners have put pressure on Manitoba's economy.

Indeed, three out of its top five export sectors are subject to tariffs from the U.S. or China. Exports fell 6% from the beginning of the year, and manufacturing sales were down by 1.5%.

Tariffs from major trading partners hurting growth

Real GDP growth, Manitoba



f = forecasts

Sources: via Haver Analytics, BDC.

Market Overview

The Toronto office sector has endured sustained pressure in recent years, largely due to structural shifts in workplace practices triggered by the COVID-19 pandemic. Lockdowns accelerated the adoption of hybrid and remote work models, reducing traditional office demand and reshaping tenant requirements. Despite these headwinds, signs of stabilization are emerging as employers push for greater in-office presence.

Several major organizations have taken decisive steps to boost attendance. RBC, for example, implemented a four-day in-office policy starting in September, while the City of Toronto now requires employees to work three to four days on-site to help revitalize town centres around the province. This mandate will increase to 5 days from January 1, 2026. These measures have coincided with a noticeable uptick in property tours, signalling renewed interest among occupiers.

The return-to-office (RTO) trend, however, is uneven across industries. Financial firms are leading the charge, driving concentrated demand in the city's financial district. Conversely, tech and creative sectors remain slower to return, creating a widening gap in rental values between prime downtown locations and peripheral submarkets.

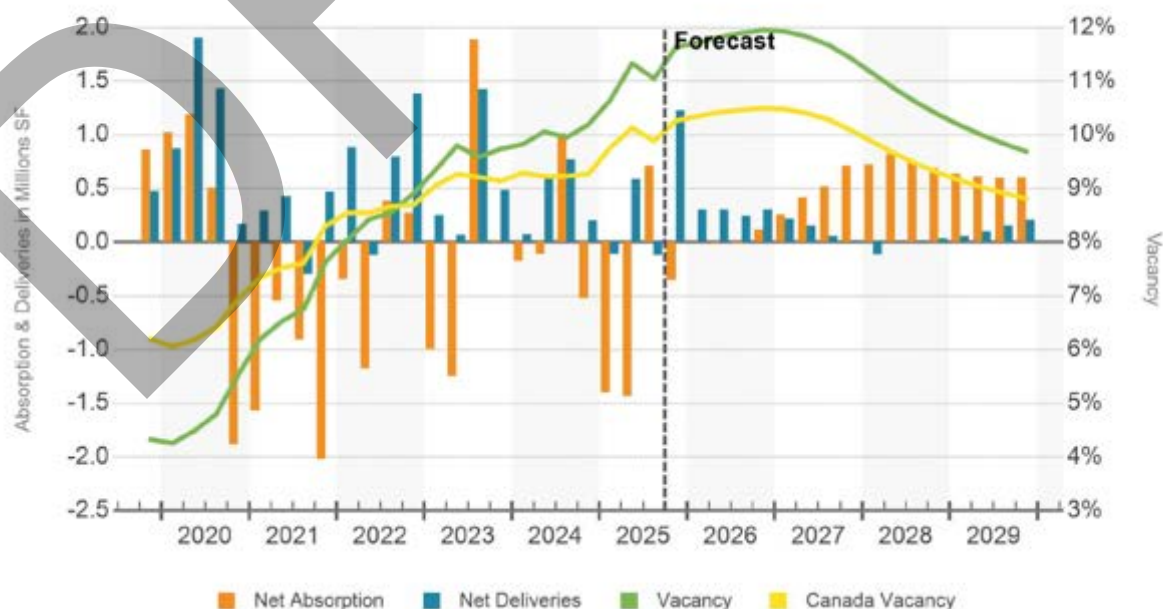
New construction will add pressure to fundamentals. Downtown West saw the delivery of 23 Spadina in

September which will further hamper fundamentals in that submarket. In Midtown, 2161 Yonge Street was completed in October, contributing roughly 90,000 SF. By year-end, CIBC Square's second tower will introduce 1.45 million SF of premium office inventory to the city's South Core. The Canadian Pension Plan (CPP) plan to relocate from 1 Queen Street to the new tower at CIBC square, leaving their old space available.

Current availability stands at 13.4%, representing 38.8 million SF, and vacancy across the GTA, now at 11.2%, are projected to rise as the previously mentioned supply enters the market. Still, availability has trended downward over the past year across all quality tiers, tightening the spread between vacancy and availability, which is a promising sign of stabilization. Furthermore, sublet space has stabilized at roughly 14% of total available SF, down from a pandemic peak of 24%.

Asking rents are expected to decline modestly over the next 12 months, following a prolonged period of stability since 2020. While headline rents remain flat, net effective rents have dropped significantly as landlords deploy aggressive concessions and tenant improvement packages to secure occupancy. Anecdotally, it appears that the downward pressure on net effective rents has subsided, which again is a positive sign of a shift in the market's trajectory.

NET ABSORPTION, NET DELIVERIES & VACANCY



TORONTO INVESTMENT TRENDS

The office market across the Greater Toronto Area has seen a significant drop in transaction volumes compared to pre-pandemic years. Over the last 12 months, \$1.3 billion has transacted, compared with the 10 year average of \$3.0 billion. While the drop in office utilization is likely a factor, tighter capital markets and growing uncertainty surrounding the stability of the Canadian economy are also contributing.

Comparing the last three years to the three years leading into the COVID-19 pandemic, quarterly office sales volume in the GTA has roughly halved. This overall decline has occurred to varying degrees across most of the region's office submarkets, although some have seen their transaction volume increase.

December of last year saw one of the first major office transactions since the sale of RBC Plaza in 2021: the \$165.25 million sale of 2 Queen St. East. CPP Investments and AIMCo sold their 75% interest in the 477,000 SF office building to Brookfield Asset Management, Halmont Properties Corp., and Toronto Metropolitan University.

More recently, in February, the Ministry of Infrastructure purchased 438 University Ave from Dream for \$105 million, equating to \$327 per SF for the 323,000 SF building. The Ministry was a tenant within the building, showing the intent of the government to continue in place work requirements. At the end of September, Kingsett sold a portfolio of nine properties to Sun Commercial

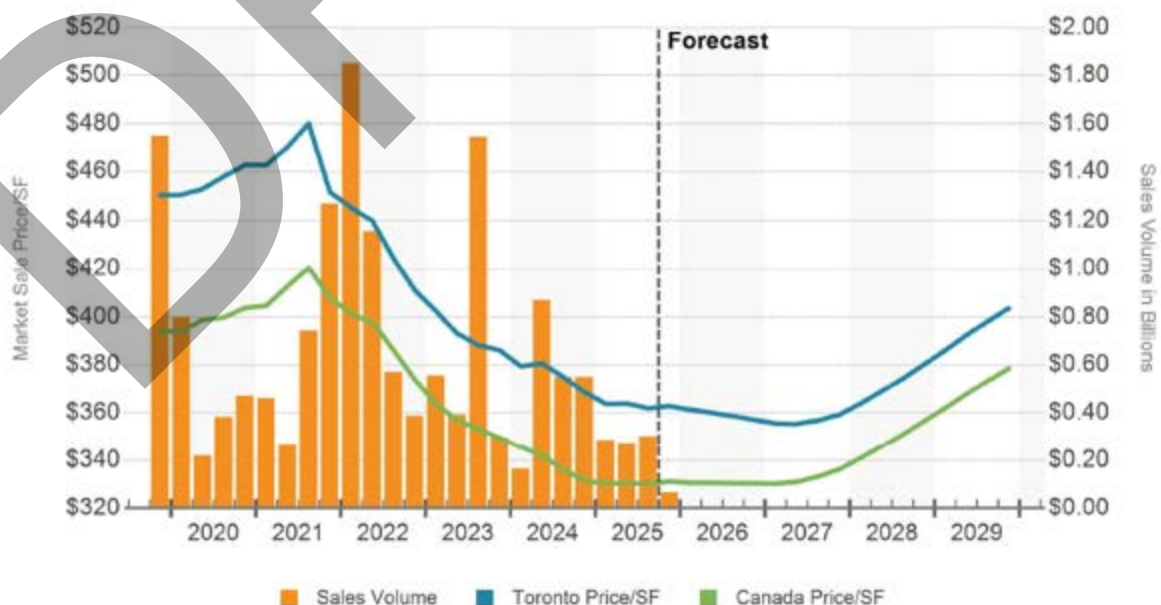
Real Estate Group. One of these properties was 415 Yonge Street. The value apportioned to this was \$59.2 million, which equated to \$308 per SF. The property was over 50 years old and largely vacant at the time of sale.

Sales prices per SF have steadily declined over the last three years, falling to the lowest level since 2016, having peaked in Q3 2021. Cap rates have expanded substantially in that same timeframe, increasing from a trough of 5.25% - 5.5% to a current level of 6.75% - 7%. Furthermore, it is important to note that a lack of transactional evidence in the market has insulated cap rates. Because of this, the market cap rate expansion has halted.

Some deals point towards expansion beyond 6.75%, such as 10 Spadina Avenue, which traded at a cap rate of approximately 6.9% in August 2024. The building is in downtown Toronto and is fully occupied with a WAULT at the time of sale of over 5.5 years. This cap rate was calculated using the reported weighted average net rent. There is currently a proposal in place to build a high rise condo building on the plot of 10 Spadina, illustrating the shift in market sentiment.

Transaction volumes in the office sector will likely remain low compared to historical norms as Toronto grapples with more restrictive capital markets and lower office utilization. Trade uncertainty, ushered in by the tariff war, is further compounding these issues.

SALES VOLUME & MARKET SALE PRICE PER SF



Highest and Best Use

The Highest and Best Use of any particular site is usually defined as, **"that use which at the time of appraisal, is most likely to produce the greatest net return, in money or amenities over a given period of time"**.

As stipulated in the preceding definition there are four tests that a development must embrace to satisfy the Principle of Highest and Best Use and they are as follows:

- 1) **Legal Permissibility** - The appraiser must consider the possible uses of the site, or those uses which would be legally permissible under the present zoning or the Official Plan; the feasible use which includes those possible and permissible uses producing any net return to the site; and finally the Highest and Best use among the feasible uses which would produce the highest net return or highest present worth to the site.
- 2) **Physical Possibility** - In consideration of Highest and Best Use the appraiser must consider the size of the site, location, topography, soil and sub-soil conditions without the benefits of soil test results, availability of utilities, street improvements, property access, surrounding neighbourhood, and presence or absence of nuisances or hazards.
- 3) **Financial Feasibility** - In reconciling which uses are physically possible and legally permissible, the appraiser must eliminate some uses from consideration. The uses that meet the first two criteria are analyzed further to determine which are likely to produce an income or return, equal to or greater than the amount needed to satisfy the operating expenses, financial obligations and capital amortization. All the uses that are expected to produce a positive return are regarded as financially feasible.
- 4) **Maximum Profitability** - Of the financially feasible uses, the use that produces the highest price, or value, consistent with the rate of return warranted by the marketplace for that use is the Highest and Best use. This procedure is appropriate if all competing uses have similar risk characteristics.

The subject building is a mixed-use development in the City of Toronto. It is assumed to be constructed in conformity with the land use regulations and permits in effect at the time. The structure features a functional layout and was built using average-quality materials with competent workmanship. The current use remains desirable among tenants, owner-users, and investors. Alternative uses would not be practical or economically feasible. In my opinion, the existing development represents the highest and best use of the property as improved. If the site were vacant, its highest and best use would likely be for the development of a modern mixed-use building consistent with current land use controls.



VALUATION

Method of Valuation

SYNOPSIS

There are three methods which can be used to estimate the value of a property:

1. The Cost Approach
2. The Direct Comparison Approach
3. The Income Approach

THE COST APPROACH

In the Cost Approach, an estimate is made of the investment that would be required under current market conditions to construct improvements of equal utility to those of the subject property. From the reproduction cost new, an estimated loss in value through various forms of depreciation, i.e. accrued depreciation, is deducted and the estimated land value is then added. The result is the estimate of value by the Cost Approach.

THE DIRECT COMPARISON APPROACH

The Direct Comparison Approach contemplates the comparison of the subject property with comparable properties which have recently sold or are listed for sale. This approach is an application of the principle of substitution, which affirms that when a property is replaceable, no prudent buyer would pay more for the property than the cost of acquiring an equally desirable substitute.

THE INCOME APPROACH

In the Income Approach an estimate is made of the expected future income and of the anticipated cost to produce that income. On the basis of a return that a prudent single investor would require on his investment and the time in which the original investment is expected to be recaptured, a discount rate is applied against the expected net income, resulting in the estimate of value by the Income Approach.

FINAL ESTIMATE OF VALUE

The previously outlined appraisal techniques result in three estimates of value. These estimates of value need not be identical. Each estimate, through a process of correlation and reconciliation, is considered in light of its accuracy, importance and relevancy of data. The resulting valuation is called the Final Estimate of Value.

APPROACHES UTILIZED

The Direct Comparison Approach and a variation of the Income Approach will be utilized in rendering the Final Estimate of Value for the subject property. These approaches best reflect the actions of buyers and sellers in the marketplace, particularly for the type and class of real estate being appraised.

Direct Comparison Approach

1 10 Neighbourhood Ln - Stonegate Plaza

Toronto, ON M8Y 0C5 (Toronto County) - West Toronto Submarket

Retail

Sold	2024-10-02	Land Area	1.35 AC/58,900 SF
Sale Price	\$14,000,000 (\$439.89/SF)	Sale Comp Status	Research Complete
GLA (% Leased)	31,826 SF (100%)	Sale Comp ID	6874127
Price Status	Full Value	Parcel Numbers	191901826000102
Built	2018		



2 3044-3048 Dundas St W

Toronto, ON M6P 1Z3 (Toronto County) - West Toronto Submarket

Retail

Sold	2025-10-07	Land Area	0.10 AC/4,356 SF
Sale Price	\$4,500,000 (\$380.10/SF)	Actual Cap Rate	6.70%
GLA	11,839 SF	Sale Comp Status	Research Complete
Price Status	Confirmed	Sale Comp ID	7377560
Built	1891	Parcel Numbers	190401409007100



3 5308 Highway 7

Vaughan, ON L4L 1T3 (York County) - GTA North Submarket

Retail

Sold	2024-11-18	Land Area	0.35 AC/15,159 SF
Sale Price	\$5,000,000 (\$363.11/SF)	Actual Cap Rate	4.50%
GLA	13,770 SF	Sale Comp Status	Research Complete
Price Status	Confirmed	Sale Comp ID	6956514
Built	1975	Sale Conditions	Distress Sale



4 1083-1085 St Clair Ave W

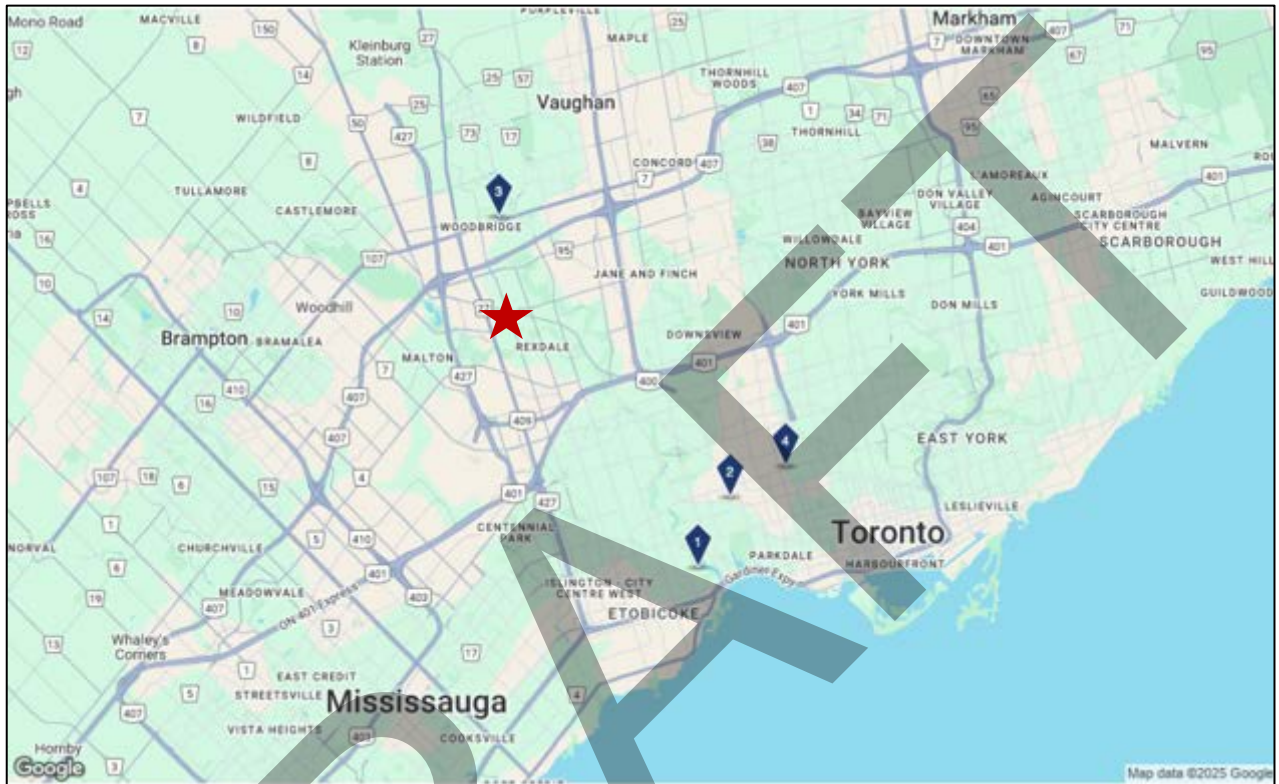
Toronto, ON M6E 1A8 (Toronto County) - West Toronto Submarket

Retail

Sold	2025-01-24	Land Area	0.09 AC/3,920 SF
Sale Price	\$3,650,000 (\$340.68/SF)	Pro Forma Cap Rate	5.50%
GLA (% Leased)	10,714 SF (100%)	Sale Comp Status	Research Complete
Price Status	Confirmed	Sale Comp ID	7034591
Built	1975	Parcel Numbers	190403349001700



COMPARABLE SALES MAP





10 Neighbourhood Ln - Stonegate Plaza

Toronto, ON M8Y 0C5 (Toronto County) - West Toronto Submarket

Retail

Sale Summary

Sold	2024-10-02
Sale Price	\$14,000,000 (\$439.89/SF)
GLA (% Leased)	31,826 SF (100%)
Price Status	Full Value
Built	2018
Land Area	1.35 AC/58,900 SF
Sale Comp Status	Research Complete
Sale Comp ID	6874127
Parcel Numbers	191901826000102



Contacts

Type	Name	Location	Phone
Recorded Buyer	Supertrin Commercial Properties Inc.	-	-
True Buyer	Supertrin Properties Inc.	Mississauga, ON L4W 0C2	(905) 212-9010
Buyer Broker	None on the deal	-	-
Recorded Seller	Ontario Super Court Of Justice	-	-
True Seller	Vandyk Group Of Companies	Mississauga, ON L5K 0A1	1 (941) 954-4449
Listing Broker	Cushman & Wakefield	Toronto, ON M5J 2S1	(416) 862-0611
Contacts	Alan Rawn (647) 330-3045, Joel Goulding (416) 359-2385		

Property Details

Tenancy	Multi	Building FAR	0.54
Number of Tenants	7		

Transaction Details

Sale Date	2024-10-02	Time On Market	5 Months
Sale Price	\$14,000,000 (\$439.89/SF)	Hold Period	81 Months
Land Price	\$10,353,820/AC (\$237.69/SF)	Zoning	CL
Sale Type	Investment	% Improved	100.00%
Parcel Number	191901826000102		

2 3044-3048 Dundas St W
Toronto, ON M6P 1Z3 (Toronto County) - West Toronto Submarket

Retail

Sale Summary

Sold	2025-10-07
Sale Price	\$4,500,000 (\$380.10/SF)
GLA	11,839 SF
Price Status	Confirmed
Built	1891
Land Area	0.10 AC/4,356 SF
Actual Cap Rate	6.70%
Sale Comp Status	Research Complete
Sale Comp ID	7377560
Parcel Numbers	190401409007100



Contacts

Type	Name	Location	Phone
Buyer Broker	Century 21 Fine Living Realty Inc., Brokerage	Toronto, ON M6P 1Z7	(416) 849-2121
Contacts	Adam Wilson (416) 438-2326		
Recorded Seller	1612213 Ontario Limited	-	-
Listing Broker	Century 21 Fine Living Realty Inc., Brokerage	Toronto, ON M6P 1Z7	(416) 849-2121
Contacts	Adam Wilson (416) 438-2326		

Property Details

Tenancy	Multi	Docks	None
Number of Tenants	2	Building FAR	2.72
Parking Spaces	0.34/1,000 SF; Covered Tandem Spaces Available; Reserved Spaces Available; Surface Tandem Spaces Available; 4 Surface Spaces; Covered Spaces Available		
Frontage	105' on McMurphy Ave, 46' on Dundas St W		

Transaction Details

Sale Date	2025-10-07	Sale Type	Investment
Sale Price	\$4,500,000 (\$380.10/SF)	Time On Market	1 Month 4 Days
Land Price	\$45,000,000/AC (\$1,033.06/SF)	Zoning	CR2.5(c1;r2*2220)
Parcel Number	190401409007100		



5308 Highway 7

Vaughan, ON L4L 1T3 (York County) - GTA North Submarket

Retail

Sale Summary

Sold	2024-11-18
Sale Price	\$5,000,000 (\$363.11/SF)
GLA	13,770 SF
Price Status	Confirmed
Built	1975
Land Area	0.35 AC/15,159 SF
Actual Cap Rate	4.50%
Sale Comp Status	Research Complete
Sale Comp ID	6956514
Sale Conditions	Distress Sale



Contacts

Type	Name	Location	Phone
Recorded Buyer	Warsaj Inc	-	-
True Buyer	Sayed Yousof	Vaughan, ON L4H 3G1	(647) 283-2532
Recorded Seller	2623656 Ontario Inc	-	-
Listing Broker	Capital North Realty Corporation	Vaughan, ON L4K 5N9	(416) 798-7777
Contacts	Antonio Fantauzzi (416) 258-2881		

Property Details

Center Type	Strip Centre	Docks	None
Tenancy	Multi	Building FAR	0.91
Number of Tenants	6		
Parking Spaces	1,34/1,000 SF; 16 Surface Spaces		
Frontage	234' on Hwy-7 (with 1 curb cut)		

Transaction Details

Sale Date	2024-11-18	Hold Period	105 Months
Sale Price	\$5,000,000 (\$363.11/SF)	Recording Date	2024-11-18
Land Price	\$14,367,702/AC (\$329.84/SF)	Document Number	YR3739731
Sale Type	Investment		
Sale Conditions	Distress Sale		
Parcel Number	192800043033600		



1083-1085 St Clair Ave W

Toronto, ON M6E 1A8 (Toronto County) - West Toronto Submarket

Retail

Sale Summary

Sold	2025-01-24
Sale Price	\$3,650,000 (\$340.68/SF)
GLA (% Leased)	10,714 SF (100%)
Price Status	Confirmed
Built	1975
Land Area	0.09 AC/3,920 SF
Pro Forma Cap Rate	5.50%
Sale Comp Status	Research Complete
Sale Comp ID	7034591
Parcel Numbers	190403349001700



Contacts

Type	Name	Location	Phone
Recorded Buyer	Danlanry Investments Inc.	-	-
True Buyer	Bui, Quynh Giao	Toronto, ON M6E 1A8	-
Contacts	Quynh Bui		
Recorded Seller	Marcello Tarantino Inc.	-	-
True Seller	Marcello Tarantino	Toronto, ON M5R 2E1	(416) 925-2464
Contacts	Marcello Tarantino (416) 925-2464		
Listing Broker	Rizzo Real Estate, Inc.	Toronto, ON M6A 1Z4	(416) 887-8887
Contacts	Luigi Rizzo (416) 887-8887		

Property Details

Tenancy	Multi	Docks	None
Number of Tenants	1	Building FAR	2.73
Parking Spaces	0.19/1,000 SF; 2 Surface Spaces; Covered Spaces Available		
Frontage	44' on St Clair Ave		

Transaction Details

Sale Date	2025-01-24	Hold Period	20+ Years
Sale Price	\$3,650,000 (\$340.68/SF)	Recording Date	2025-01-24
Land Price	\$40,559,694/AC (\$931.12/SF)	Transfer Tax	\$69,475
Sale Type	Investment	Zoning	CR
Time On Market	6 Months 13 Days	Document Number	AT6742602
Parcel Number	190403349001700		

Sales Summary Chart

Address	City	Property Type	Sale Date	Sale Price	Size (SF)	Price/SF ↓
10 Neighbourhood Ln	Toronto	Retail	2024-10-02	\$14,000,000	31,826	\$439.89
3044-3048 Dundas St W	Toronto	Retail	2025-10-07	\$4,500,000	11,839	\$380.10
5308 Highway 7	Vaughan	Retail (Strip Centre)	2024-11-18	\$5,000,000	13,770	\$363.11
1083-1085 St Clair Ave W	Toronto	Retail	2025-01-24	\$3,650,000	10,714	\$340.68

Sale Comparables Summary Statistics

Sale Attributes	Low	Average	Median	High
Sale Price	\$3,650,000	\$6,787,500	\$4,750,000	\$14,000,000
Sale Price Per SF	\$341	\$398	\$372	\$440
Cap Rate	4.5%	5.6%	5.5%	6.7%
Land Price Per AC	\$10,353,498	\$14,363,559	\$27,461,686	\$45,000,000
Property Attributes	Low	Average	Median	High
Building SF	10,714 SF	17,037 SF	12,804 SF	31,826 SF
Year Built	1891	1965	1975	2018
% Leased At Sale	100%	100%	100%	100%

The comparable sales analyzed consist of similarly sized mixed-use buildings located within the subject's immediate and surrounding neighbourhoods. Due to the limited availability of recent transactions involving comparable properties, the search parameters were expanded to include 2024 sales. The reviewed properties indicate a unit rate range of \$341 to \$440 per square foot of building area, with an average of approximately \$398 per square foot. Variations in unit prices reflect differences in location, building and lot size, site coverage, frontage, and the overall quality and condition of improvements. Consistent with the principle of economies of scale, larger buildings tend to exhibit lower unit values when other characteristics are comparable.

Sale No. 1 transacted at \$440 per square foot, representing the upper end of the range. The property is a two-storey mixed-use building constructed in 2018, with a total floor area of 31,826 square feet and underground parking. It is located along a secondary street in an apartment neighbourhood in south Etobicoke. Downward adjustments are required to reflect its superior location and superior overall quality relative to the subject.

Sale No. 2 sold for \$380 per square foot and reflects a three-storey mixed-use building containing two main-floor retail units. The property is located at the northeast corner of Dundas Street West and McMurray Avenue, within the affluent and high-demand Junction neighbourhood, and contains a total floor area of 11,839 square feet. Upward adjustments are warranted for the inferior quality of this building, which was constructed in 1891, and its significantly smaller site area of 0.10 acres. These are mostly offset by downward adjustments for its smaller building size and superior location.

Sale No. 3 is located on the north side of Highway 7, west of Kipling Road, in the City of Vaughan. The property is a freestanding three-storey mixed-use building containing five main-floor commercial units and a total building area of 13,770 square feet. Upward adjustments are required due to the vendor's motivation (Power of Sale), the inferior building quality, and the smaller site area. These factors are partly offset by downward adjustments for the superior location along Highway 7. (Note: The sale price per square foot was not provided in the source text and should be inserted once confirmed.)

Sale No. 4 represents the lower end of the range at \$341 per square foot. This sale involved a three-storey mixed-use building located on St. Clair Avenue West. Constructed in 1975, the building contains 10,714 square feet, including two commercial units on the main floor and four one-bedroom apartments on the upper levels. Upward adjustments are required for the smaller site area and inferior building quality, partly offset by the superior location on St. Clair Avenue West.

All four sales are located within west Toronto and the adjacent municipality of Vaughan and consist of two- and three-storey mixed-use buildings with retail at grade. The subject benefits from a corner location at a busy intersection and a spacious site area of 0.79 acres. The presence of a basement level, which typically commands lower unit values, is also considered. Given these factors, a unit rate of approximately \$380 per square foot is considered reasonable and supportable for the subject property.

25,874 square feet x \$380 per square foot = \$9,832,120

Rounded \$9,830,000

Income Approach

ESTIMATE OF POTENTIAL GROSS INCOME

I have been provided with a copy of the rent roll by the owner, which I assume the information provided to be factual and accurate. However, if it is determined that the information is inaccurate or misrepresents the subject property, I reserve the right to amend or void the report accordingly.

The subject building contains nine commercial units on the main floor, seven of which are occupied by local independent businesses, with the remaining two units vacant. The leases are structured on a net basis, with the landlord recovering realty taxes, common area maintenance (CAM), and other operating expenses. Reported rental rates range from \$20.84 to \$54.49 per square foot net, resulting in a weighted average of approximately \$28.20 per square foot.

The upper floor consists of five office units, with one occupied unit and four vacant units. The leased unit is occupied by a private school at a rental rate of \$13.39 per square foot net. The subject building also includes a basement level with 12 commercial units. One of these units is occupied by the landlord as the management office, while the remaining 11 units are vacant.

RENT ROLL

Unit	Tenant	GLA	Lease Start	Lease End	Occupancy	Annual Net Rent	Rent/SF
101	13328571 Canada Corp.	892 sf	2022	2022	2022	\$18,589	\$20.84
102	Harry Beauty Salon	800 sf	2005	2022	2005	\$22,400	\$28.00
103	Spinex Physio Clinic	1,447 sf	1996	2025	1996	\$38,346	\$26.50
104	Albion Martin Grove Pharmacy	1,430 sf	1996	2021	1996	\$42,900	\$30.00
105	Vape Denz	358 sf	2022	2025	2022	\$19,507	\$54.49
106	Mama Tobey African Store	968 sf	2025	2025	2025	\$23,232	\$24.00
107	Dr. George Ansong Dentistry	1,540 sf	1996	2025	1996	\$44,660	\$29.00
108	Vacant	925 sf					
109	Vacant	500 sf					
Main Floor Total		8,860 sf				\$209,634	
201	Vacant	1,850 sf					
202	Vacant	1,434 sf					
203	Forward Learning Inc.	2,741 sf	2017	2022	2017	\$36,702	\$13.39
204	Vacant	1,002 sf					
205	Vacant	1,813 sf					
Upper Level Total		8,840 sf				\$36,702	
B101	Vacant	791 sf					
B102	Vacant	752 sf					
B103	Vacant	710 sf					
B104	Vacant	339 sf					
B105	1136987 Ontario Limited	284 sf					
B106	Vacant	392 sf					
B107	Vacant	486 sf					
B108	Vacant	502 sf					
B109	Vacant	120 sf					
B110	Vacant	1,184 sf					
B111	Vacant	638 sf					
B112	Vacant	1,625 sf					
Basement		7,823 sf				\$0	
Building GLA Total		25,523 sf				\$246,336	

SCHEDULE OF MARKET RENT – MAIN FLOOR COMMERCIAL

For purposes of this report, I have researched commercial market rents on the Toronto Real Estate Board MLS and my own database.

Commercial Leases					
Index No.	Address	Lease Start	Lease Rate	Size	Comment
1	900 Albion Road, Unit B-26A, Toronto	01-Jan-25	\$22.00	3,000 sf	Net Lease: TMI \$13.46
2	180 Queens Plate Drive, Unit A14, Toronto	01-Mar-25	\$25.00	1,459 sf	Net Lease: TMI \$14.0
3	3435 Weston Road, Toronto	Listing	\$25.00	932 sf	Net Lease: TMI \$12.13
4	45 Woodbine Downs Boulevard, Unit 3, Toronto	01-Oct-25	\$29.00	2,610 sf	Net Lease: TMI \$6.85
5	1770 Albion Road, Unit 41, Toronto	01-Dec-24	\$34.00	2,335 sf	Net Lease: Taxes \$1.76
6	2437 Finch Avenue West, Unit 7, Toronto	01-Jul-25	\$35.00	550 sf	Net Lease: TMI \$10.00
High			\$35.00	3,000 sf	
Low			\$22.00	550 sf	
Avg			\$28.33	1,814 sf	

The data pertains to ground-floor retail and commercial units located within the subject's immediate neighbourhood. Reported lease rates range from \$22.00 to \$35.00 per square foot on a net basis. These spaces accommodate a range of uses, including cafés, restaurants, retail shops, and service-oriented businesses. The subject's main-floor commercial units are leased at an average rate of approximately \$28.20 per square foot net, which is consistent with prevailing market levels. In my opinion, appropriate market rental rates for the subject property are approximately \$28.00 per square foot net for the main-floor commercial units and \$15.00 per square foot net for the basement-level commercial units.

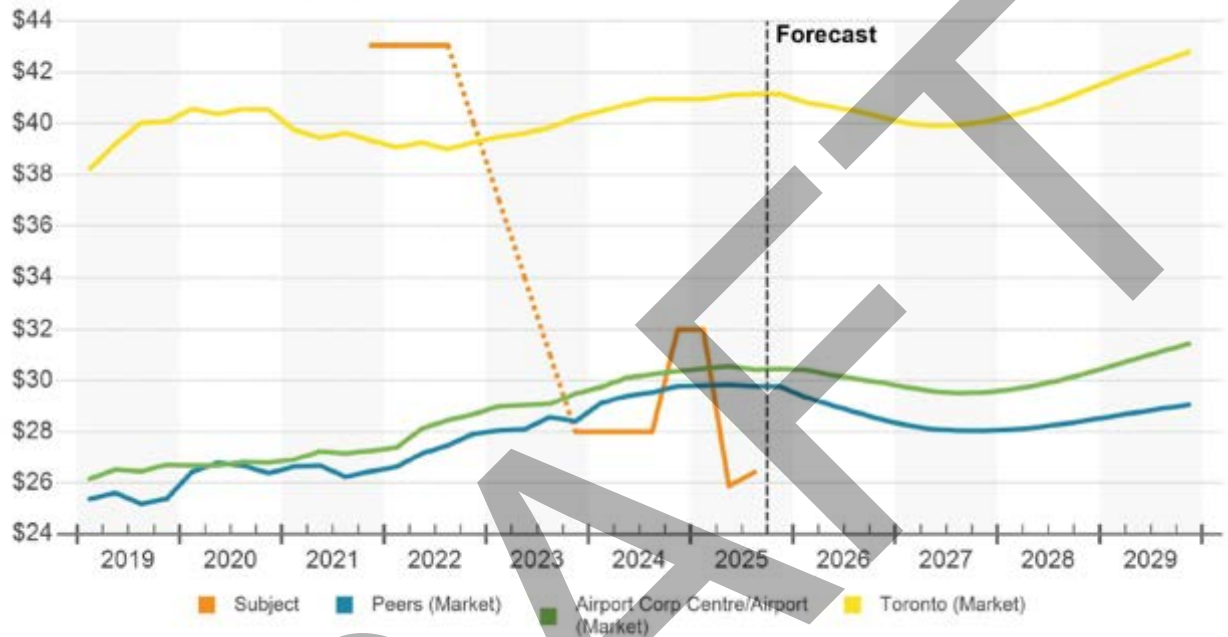
SCHEDULE OF MARKET RENT – UPPER FLOOR OFFICE

Office Rents					
Index No.	Address	Lease Start	Lease Rate	Size	Comment
1	2978 Islington Avenue, Unit 200, Toronto	Listing	\$10.00	680 sf	Net Lease: TMI \$13.05
2	100 Westmore Drive, Unit 12A, Toronto	Listing	\$12.00	1,679 sf	Net Lease: TMI \$11.87
3	3700 Steeles Avenue West, Unit 401, Vaughan	01-Aug-25	\$15.00	2,398 sf	Net Lease: TMI \$16.29
4	6275 Northam Drive, Unit 2B, Mississauga	01-Dec-25	\$16.50	3,824 sf	Net Lease: TMI \$5.52
5	3100 Steeles Avenue West, Unit 602, Vaughan	01-Sep-25	\$17.50	1,500 sf	Net Lease: TMI \$13.20
6	2201 Finch Avenue West, Unit 24, Toronto	01-Aug-25	\$18.00	1,105 sf	Net Lease: TMI \$11.27
High			\$18.00	3,824 sf	
Low			\$10.00	680 sf	
Avg			\$14.83	1,864 sf	

There is sufficient market lease data within the subject's neighbourhood to support a reliable analysis. Upper-floor office space in the area typically rents from \$10.00 to \$18.00 per square foot net. The subject's occupied office unit is leased at \$13.39 per square foot net, which falls within the prevailing market range. The vacant units are smaller than the occupied unit and would likely achieve a higher rental rate. In my opinion, an appropriate market rental rate for the subject property is approximately \$17.00 per square foot net for the vacant upper-floor office units.

COSTAR MARKET DATA

GROSS DIRECT ASKING RENT PER SQUARE FOOT



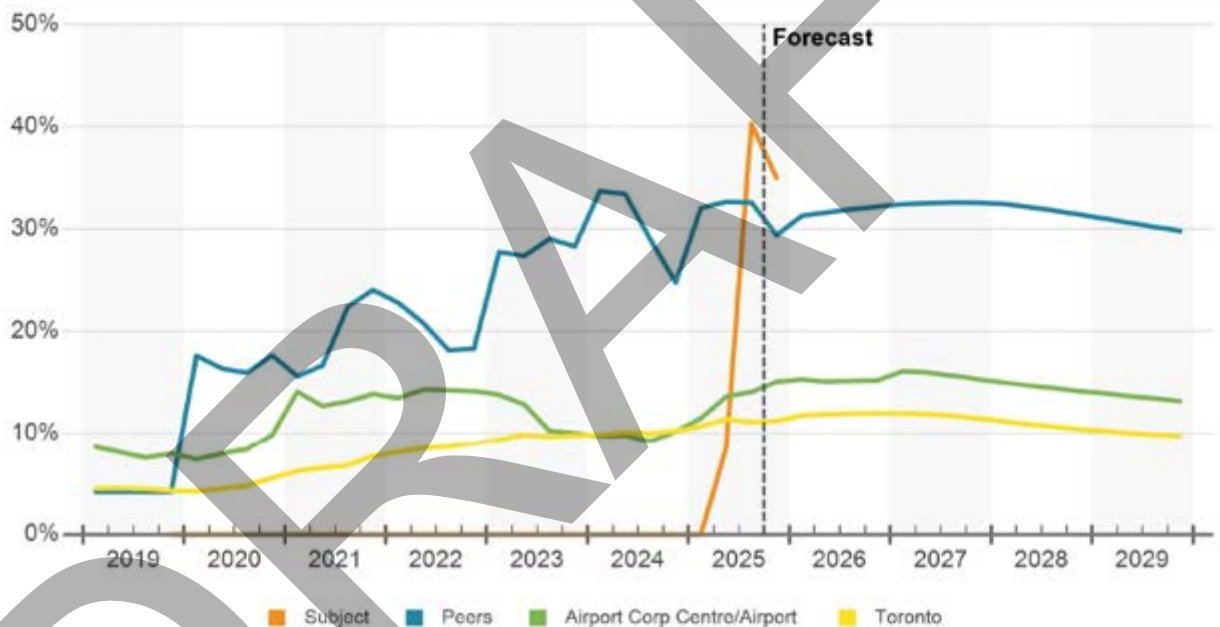
GROSS DIRECT ASKING RENT PER SQUARE FOOT

	Subject		Peers		Airport Corp Centre/Airport		Toronto	
	Direct Rent	Trend (YOY)	Market Asking Rent	Trend (YOY)	Market Asking Rent	Trend (YOY)	Market Asking Rent	Trend (YOY)
2019	-	-	\$25.38	2.1%	\$26.70	2.8%	\$40.07	5.3%
2020	-	-	\$26.37	3.9%	\$26.79	0.3%	\$40.53	1.2%
2021	\$43.07	-	\$26.45	0.3%	\$27.27	1.8%	\$39.34	-2.9%
2022	-	-	\$27.92	5.6%	\$28.68	5.2%	\$39.27	-0.2%
2023	\$28.00	-	\$28.40	1.7%	\$29.50	2.9%	\$40.23	2.4%
2024	\$32.00	14.3%	\$29.79	4.9%	\$30.37	3%	\$40.98	1.9%
YTD	\$27.51	-14%	\$29.78	0%	\$30.46	0.3%	\$41.16	0.5%
2026	Forecast >		\$28.47	-4.4%	\$30.43	0.2%	\$40.23	-1.8%
2027			\$28.04	-1.5%	\$29.74	-2.2%	\$40.07	-0.4%
2028			\$28.44	1.4%	\$29.65	-0.3%	\$41.32	3.1%
2029			\$29.05	2.1%	\$30.58	3.1%	\$42.79	3.6%

VACANCY AND CREDIT LOSS

According to CoStar Market Data, the vacancy rate for GTA North is around 1.9% for commercial assets. This factor considers the current economic climate, the number of competitive structures in the market, functional utility, finishing and location. Given the attributes of the location, size, utility and the type of tenant that this space would attract, it is unlikely the subject would sustain significant vacancy and credit loss over the long term. Consequently, it is my opinion a prudent investor would anticipate a provision for vacancy and credit loss in the range of about 4.0% for this property.

VACANCY RATE



VACANCY RATE

	Subject		Peers		Airport Corp Centre/Airport		Toronto	
	Vacancy	Trend (YOY)	Vacancy	Trend (YOY)	Vacancy	Trend (YOY)	Vacancy	Trend (YOY)
2019	0%	0%	4.2%	1.5%	7.9%	-0.9%	4.3%	-0.3%
2020	0%	0%	17.6%	13.4%	9.8%	1.9%	5.5%	1.2%
2021	0%	0%	24.0%	6.4%	13.8%	4%	7.6%	2.1%
2022	0%	0%	18.3%	-5.7%	14.1%	0.3%	8.9%	1.3%
2023	0%	0%	28.3%	10%	10.0%	-4.1%	9.7%	0.8%
2024	0%	0%	24.8%	-3.5%	10.1%	0.2%	10.2%	0.5%
YTD	35.0%	35%	29.4%	4.6%	15.0%	4.9%	11.2%	1%
2026	Forecast >		30.9%	6.1%	15.3%	5.1%	11.9%	1.8%
2027			32.2%	1.3%	16.1%	0.8%	11.4%	-0.5%
2028			32.6%	0.4%	14.9%	-1.1%	10.4%	-1.1%
2029			31.4%	-1.2%	13.8%	-1.1%	9.7%	-0.7%

ESTIMATE OF NET OPERATING INCOME

I have calculated the expenses as follows:

- Realty taxes for the property amount to \$98,534.
- An estimated annual insurance cost of \$15,000 has been included.
- Utilities expenses for the common areas are estimated at \$30,000.
- Repair and maintenance expenses are estimated at approximately \$2.00 per square foot of Building GFA, or \$51,748. These expenditures cover a range of items, including general building maintenance and overall site upkeep.
- A management fee of 4.0% of the EGI has been allocated.
- A structural reserve of 2.0% of the EGI has been allocated.

The Net Operating Income (NOI) is determined by deducting the estimated expenses from the Effective Gross Income. The NOI is calculated as follows:

Stabilized Operating Statement				
Revenue	GLA	\$/Month	Rent/Sf	Annual Rent
Main Floor Occupied Commercial Units - Contractual Net Rent	7,435 sf	\$17,470	\$28.20	\$209,634
Main Floor Vacant Commercial Units - Projected Market Net Rent	1,425 sf	\$3,563	\$30.00	\$42,750
Upper Floor Occupied Office Unit - Contractual Net Rent	2,741 sf	\$3,058	\$13.39	\$36,702
Upper Floor Vacant Office Units - Projected Market Net Rent	6,099 sf	\$8,640	\$17.00	\$103,683
Lower Floor Vacant Commercial Units - Projected Market Net Rent	7,823 sf	\$9,779	\$15.00	\$117,345
Potential Gross Income (PGI)	25,523 sf	\$42,510	\$19.99	\$510,114
TMI Recoveries			\$7.65	\$195,282
Gross Annual Income				\$705,396
Less: Vacancy and Credit Loss			4.0%	(\$28,216)
Effective Gross Income				\$677,180
Expenses				
Realty Taxes	Provided by owner			\$98,534
Insurance	Estimated			\$15,000
Utilities	Estimated			\$30,000
Repairs & Maintenance	Estimated		\$2.00	\$51,748
Management Fees			4.0%	\$27,087
Structural Reserve			2.0%	\$13,544
Total Expenses				\$235,913
Net Operating Income (NOI)				\$441,267

CAPITALIZATION

Capitalization rate (or “Cap Rate”) is a real estate valuation measure used to compare different real estate investments. It is a rate of return on a real estate investment property based on the expected income that the property will generate. A capitalization rate is used to estimate an investor’s potential return on their investment. A cap rate is calculated as the ratio between the net operating income produced by an asset and the original capital cost (the price paid to buy the asset). This is done by dividing the income the property will generate (after fixed costs and variable costs) by the total value of the property. I have conducted a market study of capitalization rates within the GTA. This included figures from Colliers 2025 Q3 Cap Rate Report and my own research with respect to specific sales. My findings are presented herein:

Downtown Office						
Class A		Class B		Q4 Prediction		
Low	High	Low	High	A	B	
6.00%	7.00%	6.25%	7.50%	↔	↔	
Suburban Office						
Class A		Class B		Q4 Prediction		
Low	High	Low	High	A	B	
6.50%	8.00%	7.50%	9.00%	↔	↔	
Industrial						
Class A		Class B		Q4 Prediction		
Low	High	Low	High	A	B	
5.50%	6.50%	5.75%	6.75%	↔	↔	
Retail						
Regional/Power		Grocery/Community		Neighbourhood/Strip		Q4 Prediction
Low	High	Low	High	Low	High	R G N
5.50%	6.75%	5.50%	6.50%	5.50%	6.50%	↔ ↔ ↔
Multi-Family Apartment						
High-Rise		Low-Rise		Q4 Prediction		
Low	High	Low	High	A	B	
4.00%	4.75%	4.00%	4.75%	↔	↔	

Source: Colliers Cap Rate Report 2025 Q3–Toronto

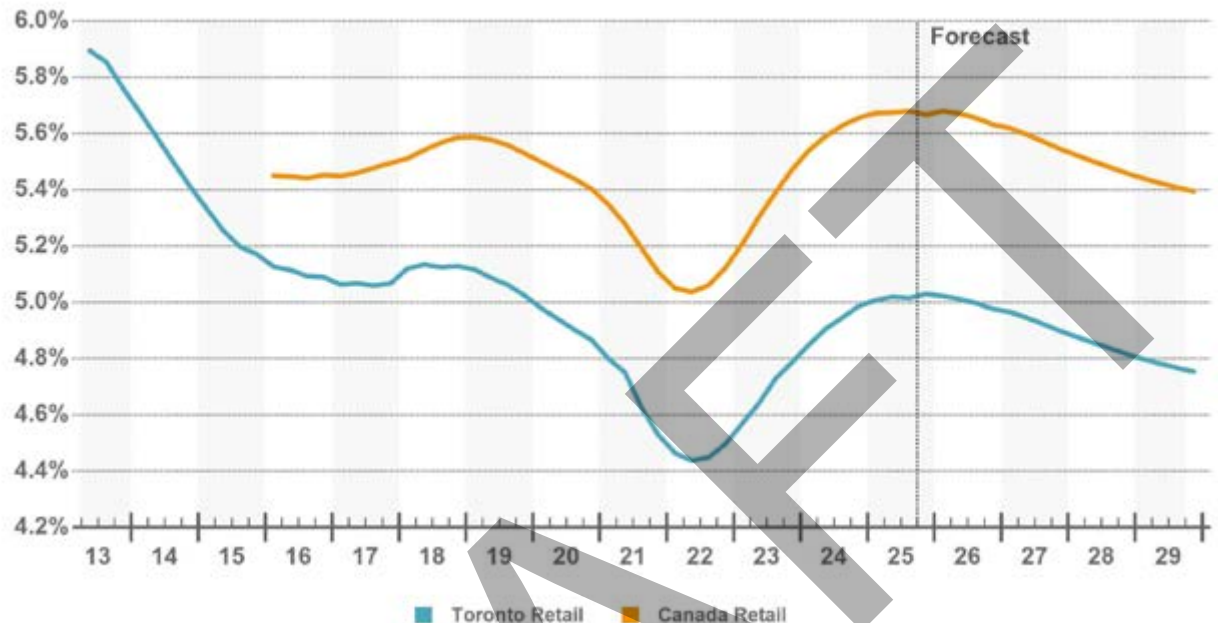
CAPITALIZATION RATE CHART

Index No.	Address	Sold Date	Sold Price	Size	Use	Net Income	Cap Rate
1	13025 Yonge Street, Richmond Hill	Feb-24	\$1,040,000	20,747 sf	Commercial	\$41,600	4.00%
2	5390 Terry Fox Way, Unit 7, Mississauga	Apr-24	\$1,050,000	1,277 sf	Commercial	\$46,200	4.40%
3	4361 Highway 7, Markham	Jun-24	\$6,800,000	13,002 sf	Commercial	\$307,360	4.52%
4	669 Bloor Street West, Toronto	Jun-25	\$1,600,000	1,000 sf	Commercial	\$75,040	4.69%
5	3271 Yonge Street, Toronto	Apr-25	\$5,300,000	5,700 sf	Commercial	\$248,570	4.69%
6	360 City Centre Drive, Main Floor, Mississauga	May-25	\$6,300,000	7,189 sf	Commercial	\$321,300	5.10%
7	550 Highway 7 East, Unit 68-69, Richmond Hill	Jan-25	\$2,040,000	1,790 sf	Commercial	\$114,240	5.60%
Average							4.71%

Selection of Capitalization Rate: Briefly stated, the capitalization process is a procedure of discounting future returns through the use of an overall capitalization rate. This overall capitalization rate is a composite rate which blends all of the financial and economic factors influencing the value of an investment property into a single figure. Application of this rate to the average annual net operating income will produce an expression of the total market value. No distinction is made between the ratio of land and improvements in the process.

I have researched commercial sales for Overall Capitalization Rates (OCR), which ranged from 4.00% to 5.60% for the sales analyzed and with an average of 4.71%. The range in overall rates is due to a number of factors including the location, size, type, condition and quality of the respective buildings, the quality and durability of the tenants along with the rental rates indicated and status relative to the market at time of sale.

MARKET CAP RATE



In general, prudent prospective purchasers tend to view more modern buildings with strong tenant covenants as better long-term investments, prioritizing flexibility and future marketability. Typical office buildings exhibit overall capitalization rates ranging between 4.0% and 6.0%. Buildings in better locations and of higher quality tend to command capitalization rates at the lower end of the range. Smaller buildings within the subject hierarchy would also be expected to fall near the lower limit.

Considering the market conditions for mixed use buildings in general, as well as the size, location, and quality of the subject space. A prudent and informed investor would likely consider an overall capitalization rate of around 5.00% for the subject property. Based on this assessment, the estimated value of the subject property would be as follows:

VALUATION MATRIX			
Cap Rate	NOI	Value (Rnd)	\$/Sf
4.50%	\$441,267	\$9,810,000	\$379
4.75%	\$441,267	\$9,290,000	\$359
5.00%	\$441,267	\$8,830,000	\$341
5.25%	\$441,267	\$8,410,000	\$325
5.50%	\$441,267	\$8,020,000	\$310

Reconciliation and Conclusion

Estimated Market Values	
Direct Comparison Approach:	\$9,830,000
Income Approach:	\$8,830,000
Cost Approach:	Not Developed

The Direct Comparison Approach applied in this valuation is based on sales data that was carefully analyzed and selected for its relevance and reflection of current market conditions. Extensive research and review of numerous transactions were undertaken to ensure that the selected sales appropriately represent typical buyer and seller behaviour in the prevailing marketplace. The analysis considers the various factors influencing property values, with each factor assigned an appropriate level of significance to support a balanced and reliable assessment.

The Income Approach has also provided meaningful insight into the property's value. This method reflects typical investor behaviour when acquiring income-producing assets, emphasizing potential income relative to returns achieved by comparable properties. Given that the subject is a revenue-generating asset, the Income Approach offers a realistic and relevant indication of value.

Both the Income and Direct Comparison Approaches yield strong and well-supported indications of value. In conclusion, I have adopted the midpoint of the value range—consistent with the indication from the Income Approach—as the estimated market value of the subject property, as follows:

Final Estimate of Market Value
\$9,330,000

Certification

Effective Date: **November 14, 2025**

Property Appraised: **1625 Albion Road, Toronto**

1. To the best of my knowledge and belief the statements of fact contained in this report are true and correct.
2. The reported analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions, and are my personal, unbiased professional analyses, opinions and conclusions.
3. I have no present or prospective interest in the property that is the subject of this report, and I have no personal interest or bias with respect to the parties involved.
4. My compensation is not contingent upon the reporting of a predetermined value or direction in value that favours the cause of the client, the amount of the value estimate, the attainment of a stipulated result, or the occurrence of a subsequent event.
5. My analyses, opinions and conclusions were developed, and this report has been prepared, in conformity with the "Canadian Uniform Standards of Professional Appraisal Practice" of the Appraisal Institute of Canada.
6. As of the date of this report, the undersigned has fulfilled the requirements of the Appraisal Institute of Canada Continuing Professional Development Program for designated members.
7. I have the knowledge and experience to complete the assignment competently.
8. The appraiser is an independent third party with respect to the real estate related transaction and is not associated with such party in any manner whatsoever.

Based upon the data, analysis and conclusions contained herein, it is my opinion, the current market value of the subject property as of the effective date is:

Final Estimate of Market Value
\$9,330,000

Extraordinary Assumption & Limiting Conditions

- The valuation contained herein is based on the financial information provided by the owner as summarized in the Income Approach of this report. The estimated value is contingent on the assumption that the reported income and expenses are true and correct. Should any of the supplied or estimated information be inaccurate or subsequently change, I reserve the right to re-examine the updated financial information and adjust the estimate of market value accordingly.

**DRAFT
FOR REVIEW ONLY**



Archie Aravinthan, AACI
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Appraisal Institute of Canada
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Valsum Appraisal Services is a full-service commercial appraisal and consulting firm servicing the Greater Toronto Area. We provide professional valuation advice and appraisal reports for mortgage financing and legal services. We specialize in commercial, industrial, office, multi-residential and land valuations.

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